

How to create products and
services customers want.
Get started with...

Value Proposition Design

strategyzer.com/vpd

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WILEY



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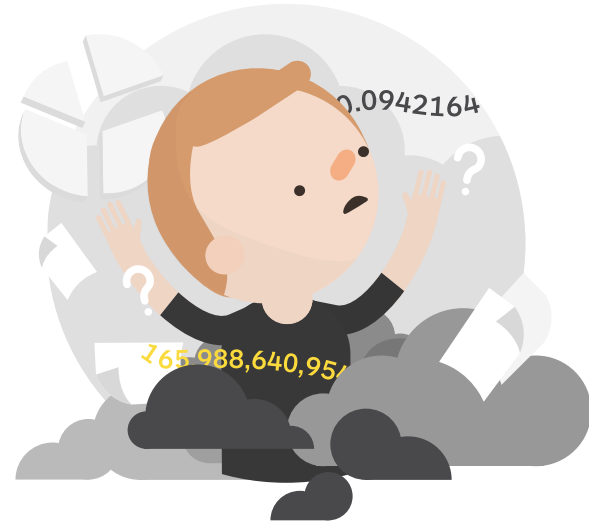
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You'll love *Value Proposition Design* if you've been...



Overwhelmed by the task of true value creation

Sometimes you feel like...

- There should be better tools available to help you create value for your customers and your business.
- You might be pursuing the wrong tasks and you feel insecure about the next steps.
- It's difficult to learn what customers really want.
- The information and data you get from (potential) customers is overwhelming and you don't know how to best organize it.
- It's challenging to go beyond products and features toward a deep understanding of customer value creation.
- You lack the big picture of how all the puzzle pieces fit together.



Frustrated by unproductive meetings and misaligned teams

You have experienced teams that...

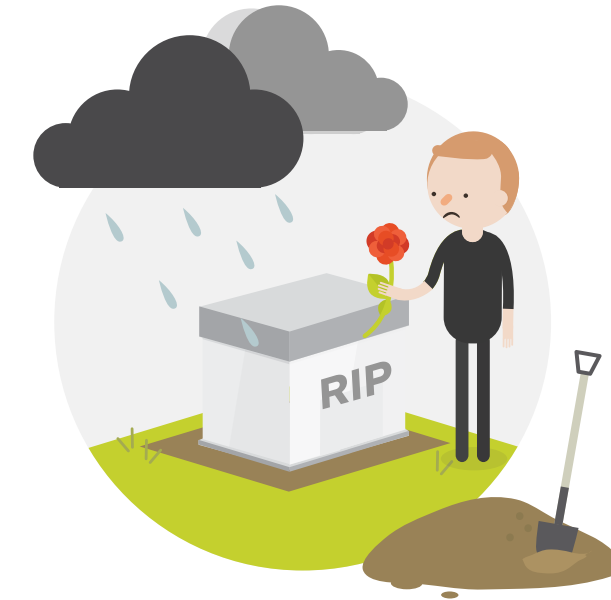
- Lacked a shared language and a shared understanding of customer value creation.
- Got bogged down by unproductive meetings with tons of unstructured “blah blah blah” conversations.
- Worked without clear processes and tools.
- Were focused mainly on technologies, products, and features rather than customers.
- Conducted meetings that drained energy and ended without a clear outcome.
- Were misaligned.



Involved in bold shiny projects that blew up

You have seen projects that...

- Were big bold bets that failed and wasted a lot of money.
- Put energy into polishing and refining a business plan until it perpetuated the illusion that it could actually work.
- Spent a lot of time building detailed spreadsheets that were completely made up and turned out to be wrong.
- Spent more time developing and debating ideas rather than testing them with customers and stakeholders.
- Let opinions dominate over facts from the field.
- Lacked clear processes and tools to minimize risk.
- Used processes suited for running a business rather than ones for developing new ideas.



Disappointed by the failure of a good idea.

 Get “From Failure to Success” poster

Value Proposition Design will help you successfully...



Understand the patterns of value creation

Organize information about what customers want in a simple way that make the patterns of value creation easily visible. As a result, you will more effectively design value propositions and profitable business models that directly target your customers' most pressing and important jobs, pains, and gains.

Gain clarity.



Leverage the experience and skills of your team

Equip your team with a shared language to overcome “blah blah blah,” conduct more strategic conversations, run creative exercises, and get aligned. This will lead to more enjoyable meetings that are full of energy and produce actionable outcomes beyond a focus on technology, products, and features toward creating value for your customers and your business.

Get your team aligned.



Avoid wasting time with ideas that won't work

Relentlessly test the most important hypotheses underlying your business ideas in order to reduce the risk of failure. This will allow you to pursue big bold ideas without having to break the bank. Your processes to shape new ideas will be fit for the task and complement your existing processes that help you run your business.

Minimize the risk of a flop.



Design, test, and deliver what customers want.

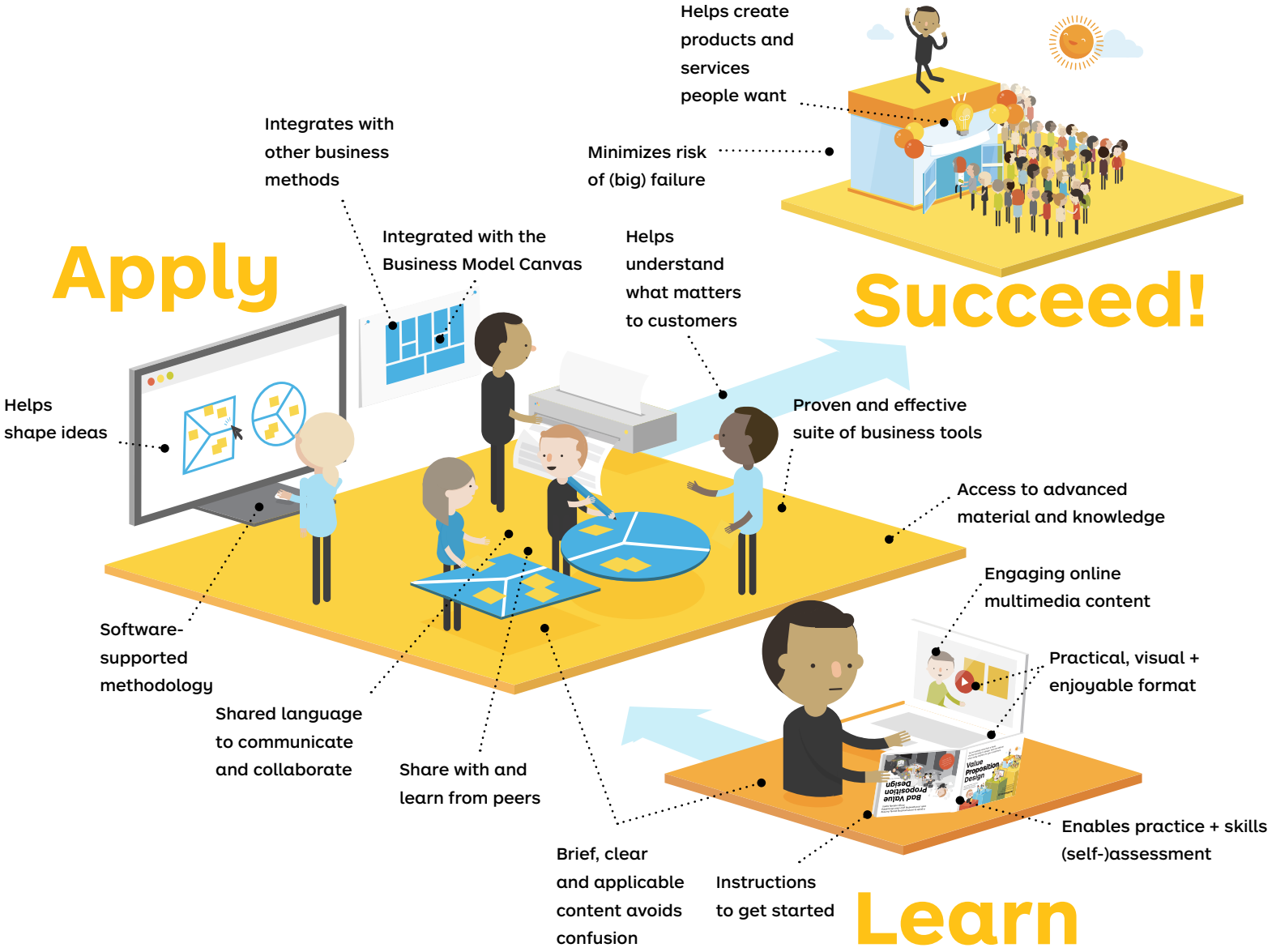
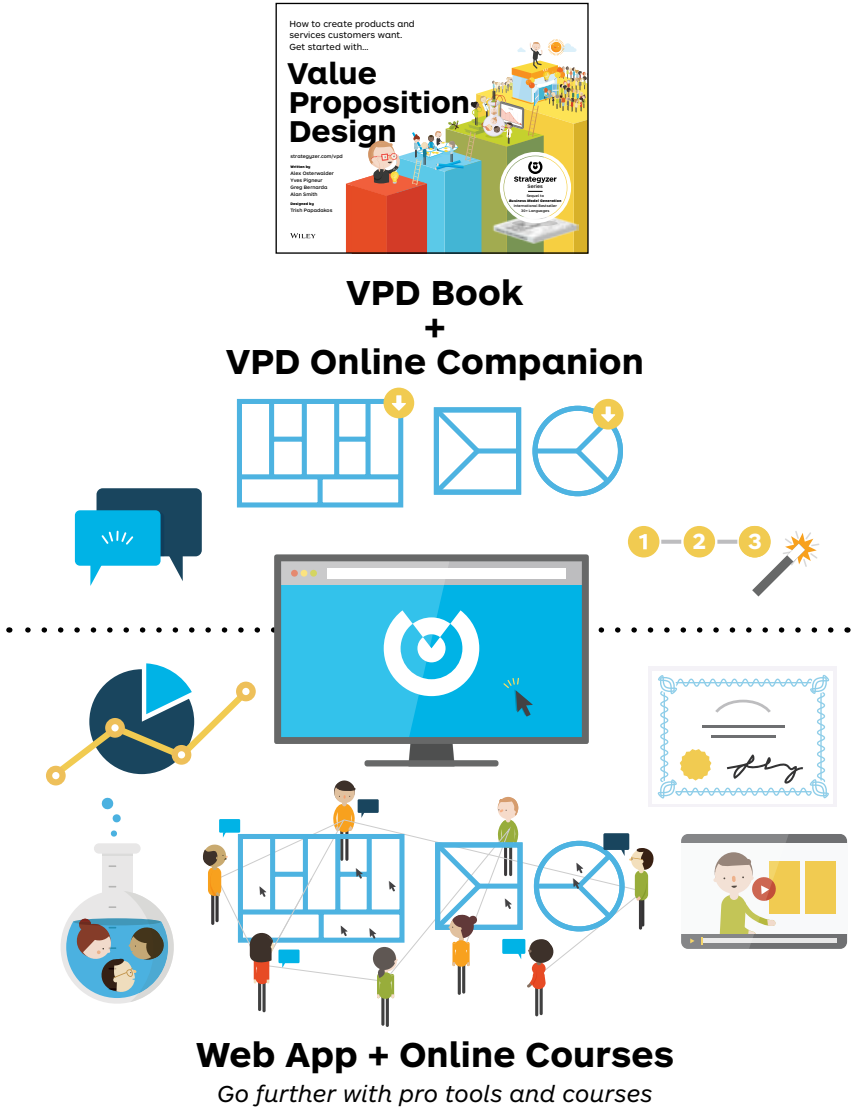
Get “From Failure to Success” poster

Our Value Proposition to You

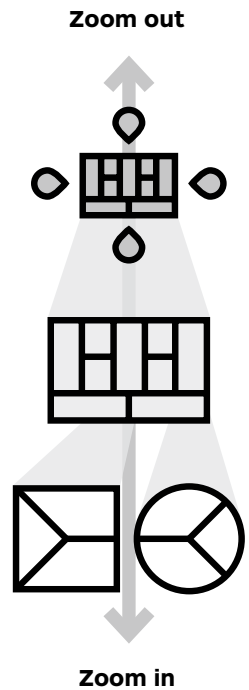
The links you see on the side of every page point to resources in the online companion.

Watch for the Strategyzer logo and follow the link to online exercises, tools/templates, posters and more.

Note: To gain access to these exclusive online portions of *Value Proposition Design*, you'll need to prove you own the book. Keep the book near you to help you answer the secret questions and verify your ownership!



The Tools and Process of Value Proposition Design



Canvas

Tools

Design / Test

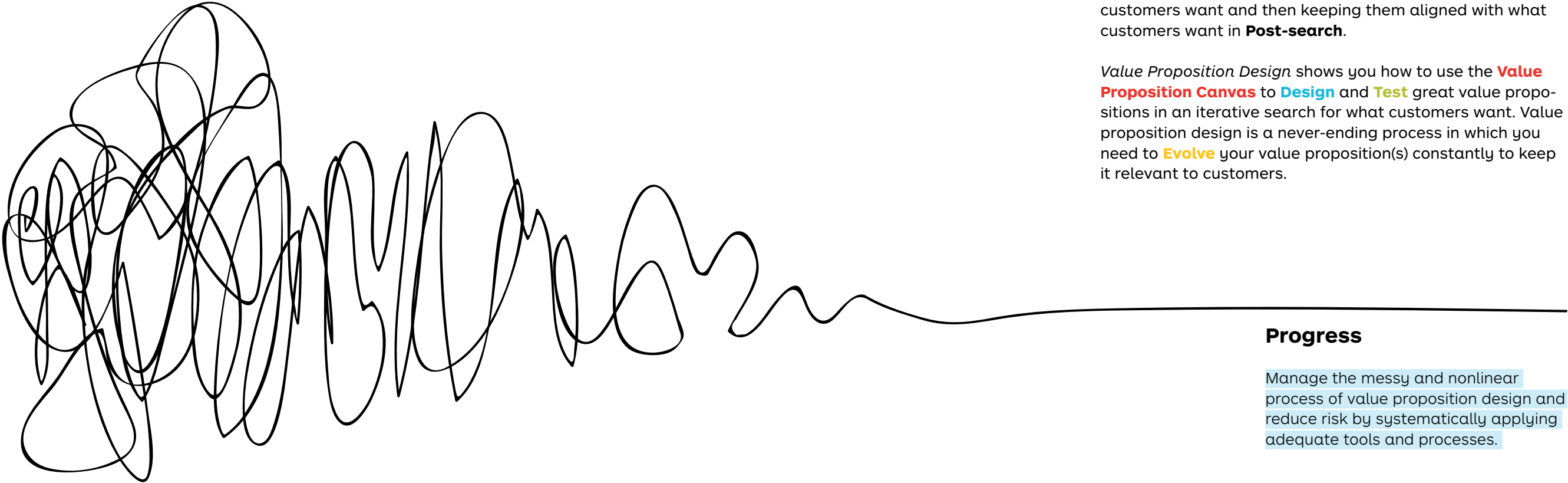
Search

Evolve

Post-search

The heart of *Value Proposition Design* is about applying **Tools** to the messy **Search** for value propositions that customers want and then keeping them aligned with what customers want in **Post-search**.

Value Proposition Design shows you how to use the **Value Proposition Canvas** to **Design** and **Test** great value propositions in an iterative search for what customers want. Value proposition design is a never-ending process in which you need to **Evolve** your value proposition(s) constantly to keep it relevant to customers.



Progress

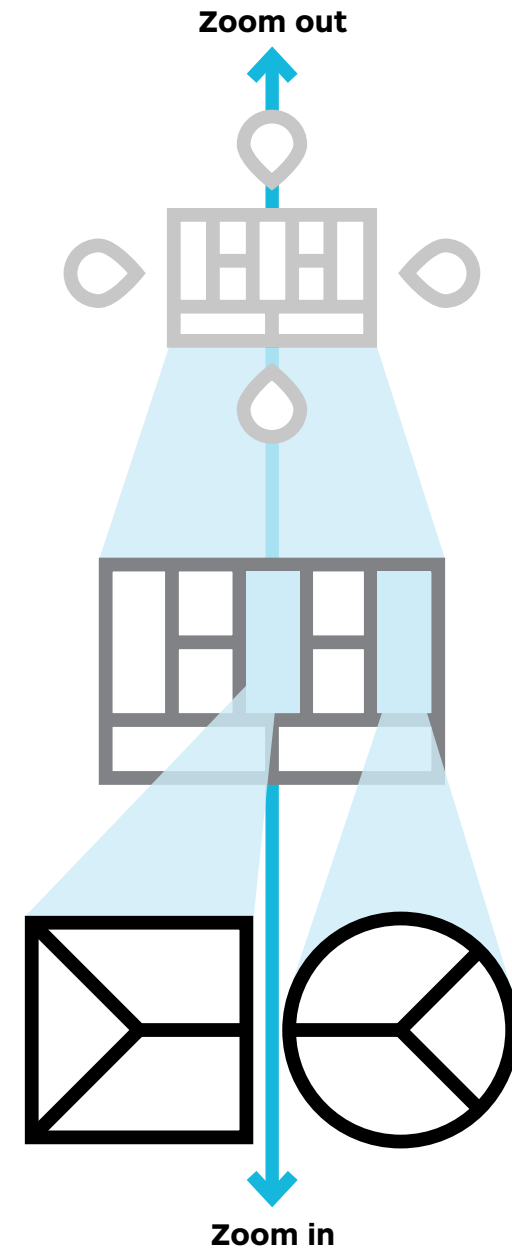
Manage the messy and nonlinear process of value proposition design and reduce risk by systematically applying adequate tools and processes.

An Integrated Suite of Tools

The Value Proposition Canvas is the tool at the center of this book. It makes value propositions visible and tangible and thus easier to discuss and manage. It perfectly integrates with the Business Model Canvas and the Environment Map, two tools that are discussed in detail in *Business Model Generation*,* the sister book to this one. Together, they shape the foundation of a suite of business tools.

The Value Proposition Canvas zooms into the details of two of the building blocks of the Business Model Canvas.

*Business Model Generation, Osterwalder and Pigneur, 2010.



The **Environment Map** helps you *understand the context in which you create.*

The **Business Model Canvas** helps you *create value for your business.*

The **Value Proposition Canvas** helps you *create value for your customer.*

Refresher: The Business Model Canvas

Embed your value proposition in a viable business model to capture value for your organization. To do so, you can use the Business Model Canvas, a tool to describe how your organization creates, delivers, and captures value. The Business Model, and Value Proposition Canvas perfectly integrate, with the latter being like a plug-in to the former that allows you to zoom into the details of how you are creating value for customers.

The refresher of the Business Model Canvas on this spread is sufficient to work through this book and create great value propositions. Go to the online resources if you are interested in more or get Business Model Generation,* the sister publication to this book.

Customer Segments
are the groups of people and/or organizations a company or organization aims to reach and create value for with a dedicated Value Proposition.

Value Propositions
are based on a bundle of products and services that create value for a Customer Segment.

Channels
describe how a Value Proposition is communicated and delivered to a Customer Segment through communication, distribution, and sales Channels.

Customer Relationships
outline what type of relationship is established and maintained with each Customer Segment, and they explain how customers are acquired and retained.

Revenue Streams
result from a Value Proposition successfully offered to a Customer

Segment. It is how an organization captures value with a price that customers are willing to pay.

Key Resources
are the most important assets required to offer and deliver the previously described elements.

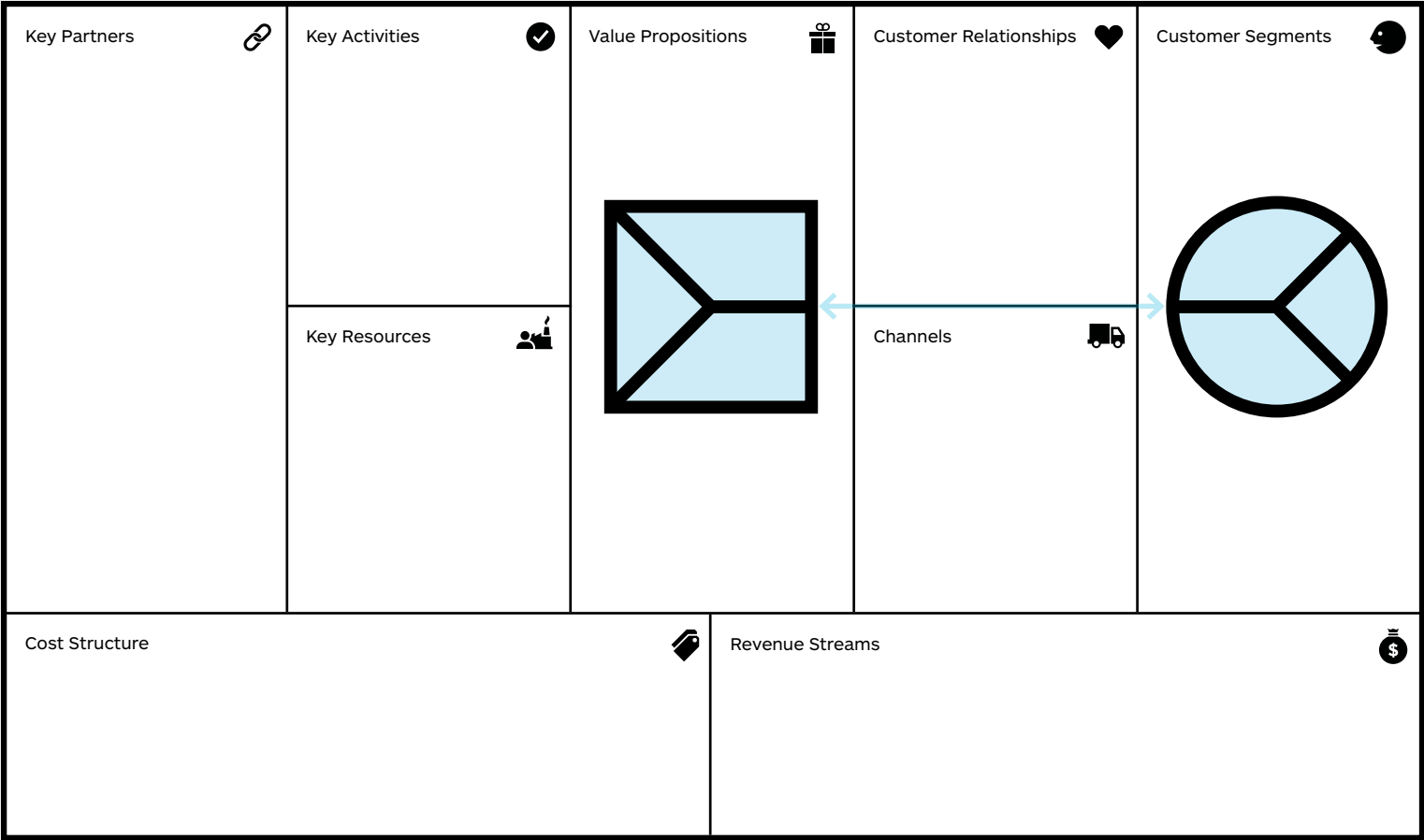
Key Activities
are the most important activities an organization needs to perform well.

Key Partnerships
shows the network of suppliers and partners that bring in external resources and activities.

Cost Structure
describes all costs incurred to operate a business model.

Profit
is calculated by subtracting the total of all costs in the Cost Structure from the total of all Revenue Streams.

The Business Model Canvas



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Strategyzer
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*Business Model Generation (2010), Osterwalder and Pigneur

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- An illustration on a green platform showing four scenarios: a Grim Reaper, a man with a money bag, people with a lightbulb, and a tree with a squirrel.

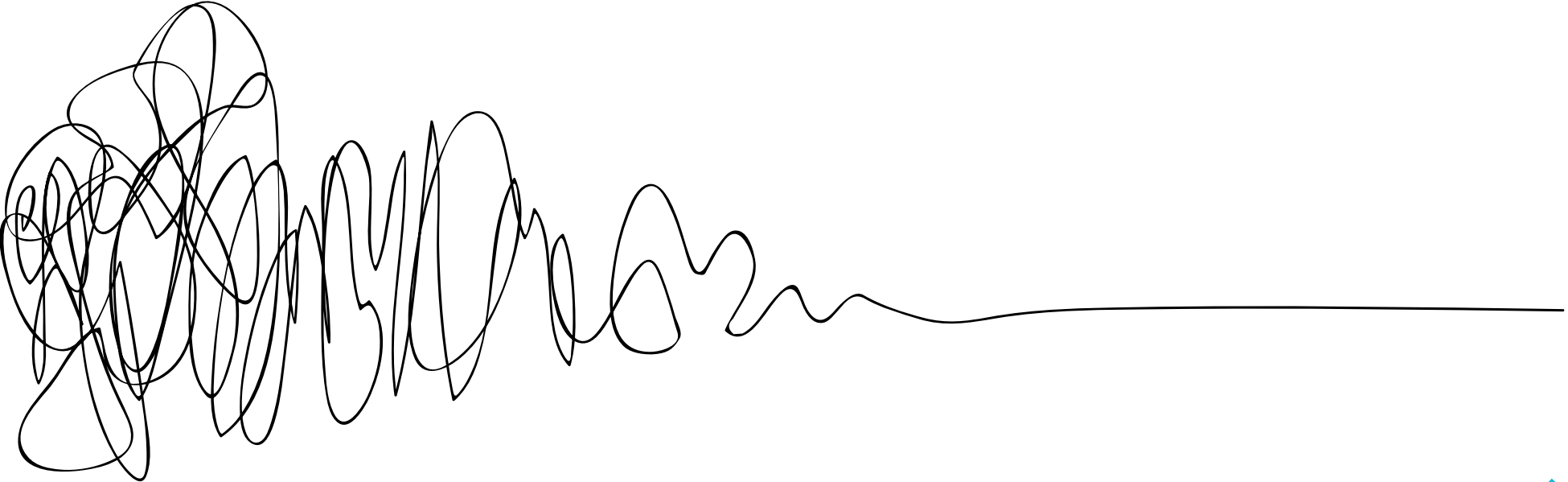
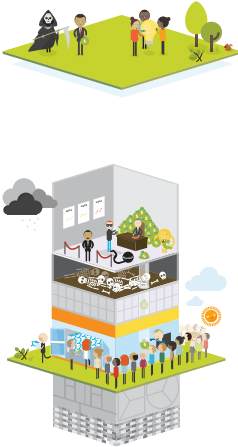
- Use speedy decision making and agility to your advantage.
- Leverage the motivation of ownership as a driver for success.

An illustration of a business process flow on a 3D platform. The platform is green with a yellow border and sits on a grey base. On the left, a person in a black shirt stands next to a small green plant. In the center, a person in a grey shirt hands a green box to a person in a white lab coat. To the right, a person in a blue shirt holds a green box with a dollar sign. A long line of diverse people stands on the platform, waiting. The background is a light blue wall with a yellow section. A small blue cloud is in the top left corner.

A stylized illustration of a diverse group of people of various ages and ethnicities standing on a green platform. They are all looking towards the left side of the frame. The people are rendered in simple, rounded shapes with different skin tones and hair colors. The platform they stand on is a solid green color with a slight 3D effect, and it is supported by a thin white pole on the left. The background is plain white.

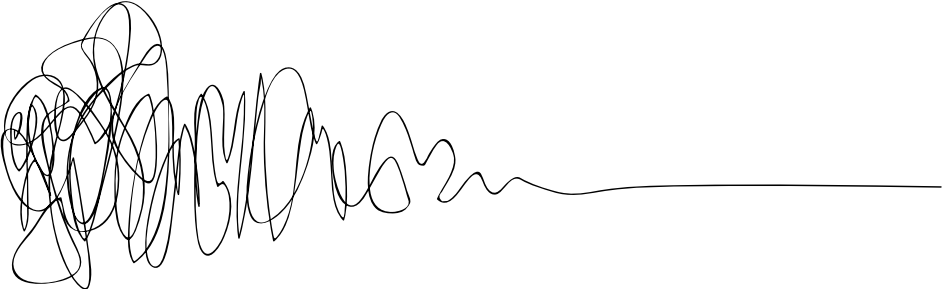
Use Value Proposition Design to...

invent and improve value propositions. The tools we will study work for managing and renewing value propositions (and business models) just as much as for creating new ones. Put the Value Proposition and Business Model to work to create a shared language of value creation in your organization. Use them to continuously invent and improve value propositions that meet customer profiles, which is an undertaking that never ends.



Invent

Invent new value propositions that people want with business models that work.



Improve

Manage, measure, challenge, improve, and renew existing value propositions and business models.

Assess Your Value Proposition Design Skills

Complete our online test and assess whether you have the attitude and skills required to systematically be successful at value proposition design. Take the test before and after working through *Value Proposition Design* to measure your progress.

 [Take your skills test online](#)



Entrepreneurial Knowledge

You enjoy trying out new things. You don't see the risk of failing as a threat but an opportunity to learn and progress. You easily navigate between the strategic and the tactical.



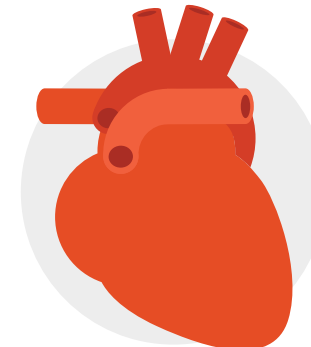
Tool Skills

You systematically use the Value Proposition Canvas, Business Model Canvas, and other tools and processes in your search for great value propositions and business models.



Design Thinking Skills

You explore multiple alternatives before picking and refining a particular direction. You are comfortable with the nonlinear and iterative nature of value creation.



Customer Empathy

You relentlessly take a customer perspective and are even better at listening to customers than selling to them.



Experimentation Skills

You systematically seek evidence that supports your ideas and tests your vision. You experiment at the earliest stages to learn what works and what doesn't.



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Sell Your Colleagues on Value Proposition Design

I am...

worried that we focus too much on products and features instead of creating value for customers.

astonished at how poorly aligned product development, sales, and marketing are when it comes to developing new value propositions.

surprised at how often we make stuff nobody wants, despite our good ideas and good intentions.

concerned that we don't have a methodology to track our progress on the development of that new value proposition and business model.

really disappointed by how much we talked about value propositions and business models at our last meeting without really getting tangible results.

blown away by how unclear that last presentation on that new value proposition and business model was.

amazed by how many resources we wasted when that great idea in that last business plan turned out to be a flop because we didn't test it.

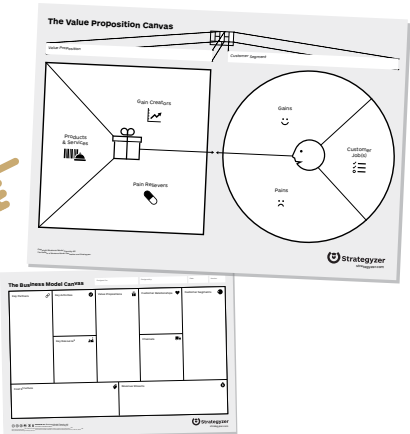
concerned that our product development process doesn't use a more customer-focused methodology.

surprised that we invest so much in research and development (R&D), but fail to invest in developing the right value propositions and business models.

not sure if everybody in our team has a shared understanding of what a good value proposition actually is.



So, what if we tried out the **Value Proposition Canvas** (and *Business Model Canvas*) in our next project?



Get a slide deck with 10 arguments to use the Value Proposition and Business Model Canvases



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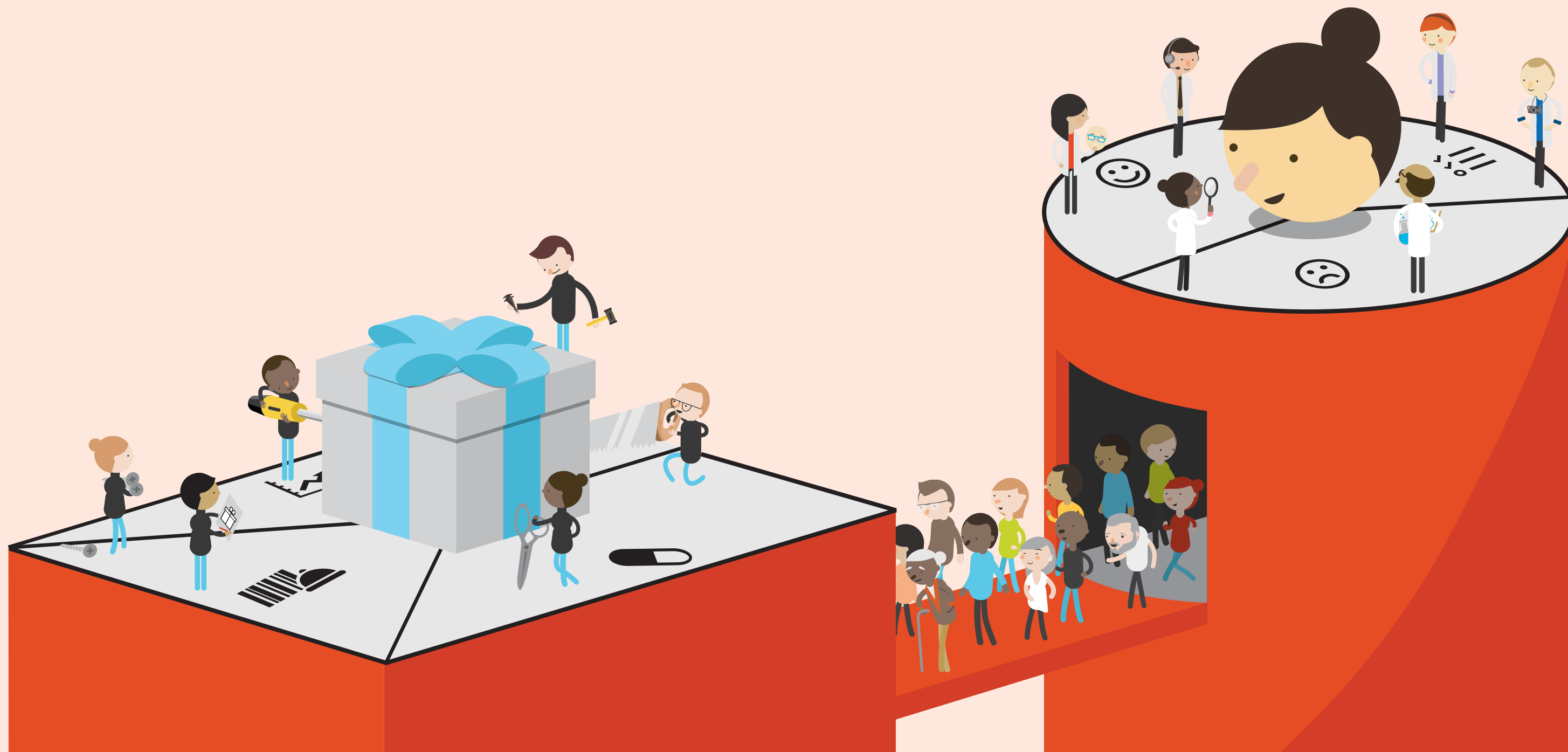


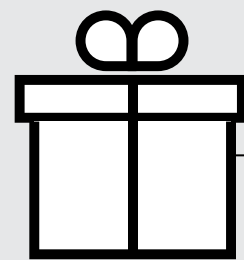
XXV

canvas

1

The Value Proposition Canvas has two sides. With the Customer Profile ^{p. 10} you clarify your customer understanding. With the Value Map ^{p. 26} you describe how you intend to create value for that customer. You achieve Fit ^{p. 40} between the two when one meets the other.





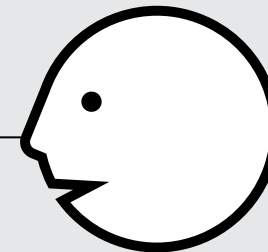
Create Value

The set of value proposition **benefits** that you **design** to attract customers.

DEF-I-NI-TION

VALUE PROPOSITION

Describes the benefits customers can expect from your products and services.



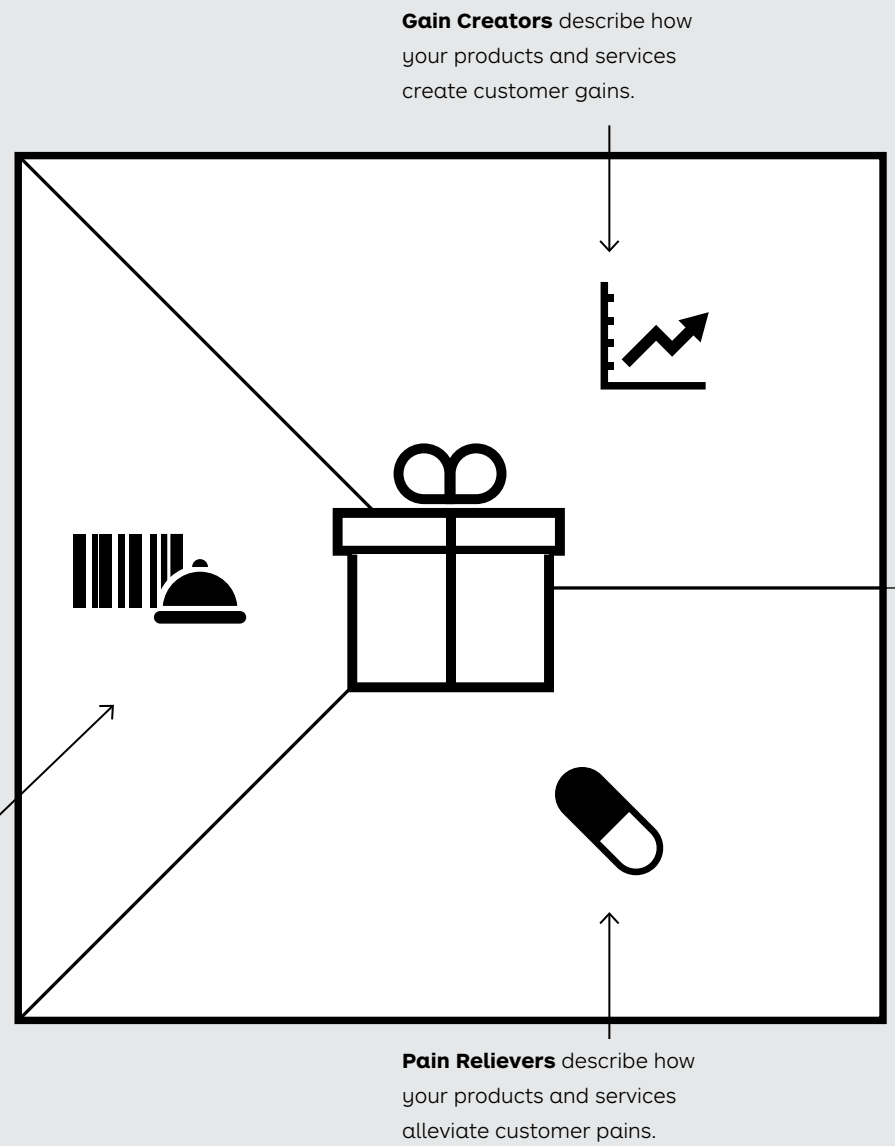
Observe Customers

The set of customer **characteristics** that you **assume, observe, and verify** in the market.

Value Map

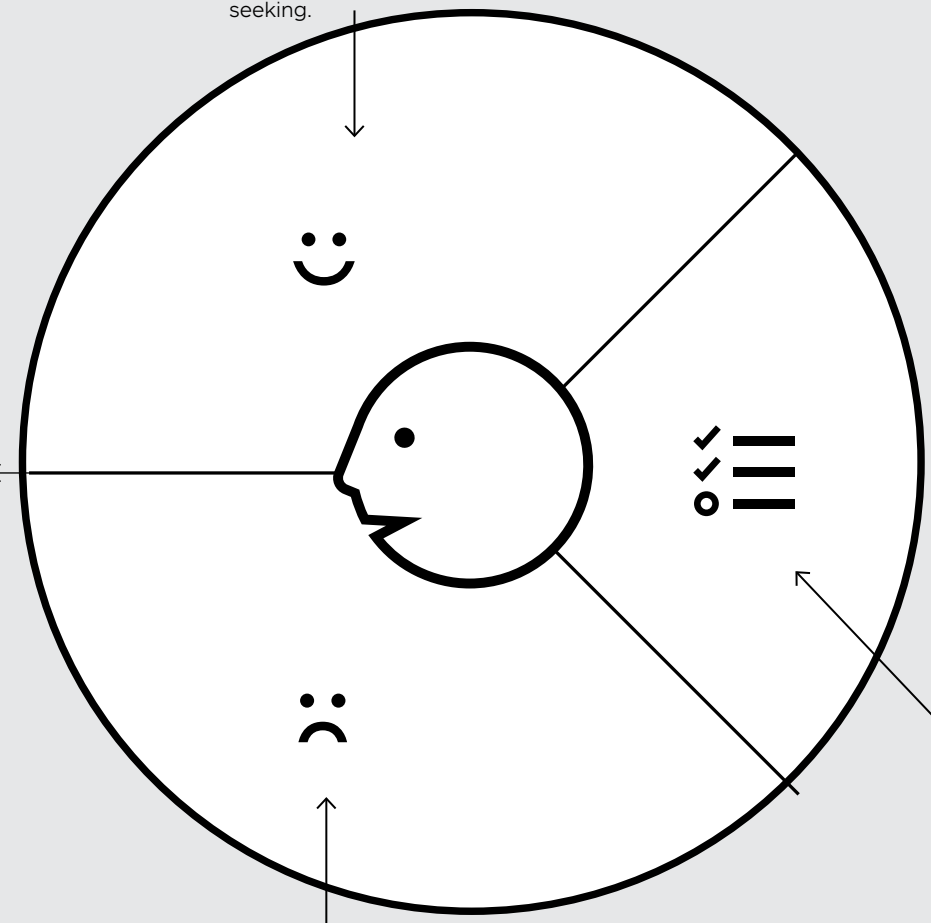
The Value (Proposition) Map describes the features of a specific value proposition in your business model in a more structured and detailed way. It breaks your value proposition down into products and services, pain relievers, and gain creators.

This is a list of all the **Products and Services** a value proposition is built around.



Fit

Gains describe the outcomes customers want to achieve or the concrete benefits they are seeking.



Pains describe bad outcomes, risks, and obstacles related to customer jobs.

Customer Jobs describe what customers are trying to get done in their work and in their lives, as expressed in their own words.

You achieve **Fit** when your value map meets your customer profile — when your products and services produce pain relievers and gain creators that match one or more of the jobs, pains, and gains that are important to your customer.

Customer Profile

The Customer (Segment) Profile describes a specific customer segment in your business model in a more structured and detailed way. It breaks the customer down into its jobs, pains, and gains.

1.1

10

Customer Profile





Customer Jobs

Jobs describe the things your customers are trying to get done in their work or in their life. A customer job could be the tasks they are trying to perform and complete, the problems they are trying to solve, or the needs they are trying to satisfy. Make sure you take the customer's perspective when investigating jobs. What you think of as important from your perspective might not be a job customers are actually trying to get done.*

Distinguish between three main types of customer jobs to be done and supporting jobs:

Functional jobs

When your customers try to perform or complete a specific task or solve a specific problem, for example, mow the lawn, eat healthy as a consumer, write a report, or help clients as a professional.

Social jobs

When your customers want to look good or gain power or status. These jobs describe how customers want to be perceived by others, for example, look trendy as a consumer or be perceived as competent as a professional.

Personal/emotional jobs

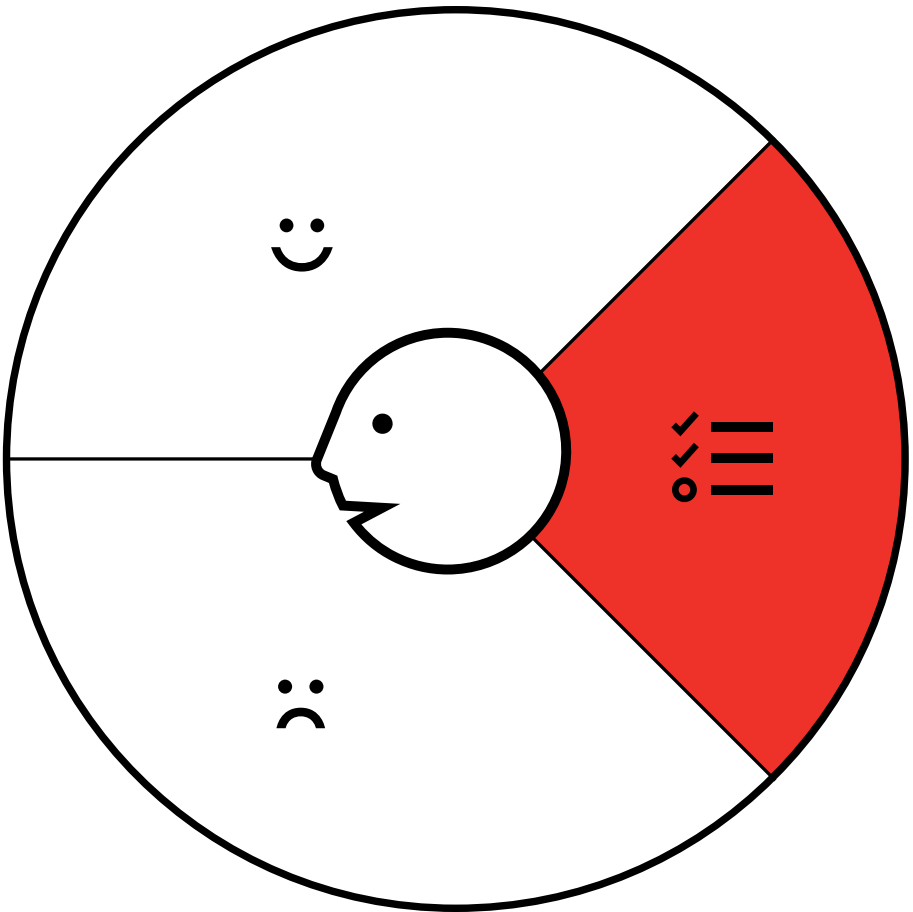
When your customers seek a specific emotional state, such as feeling good or secure, for example, seeking peace of mind regarding one's investments as a consumer or achieving the feeling of job security at one's workplace.

Supporting jobs

Customers also perform supporting jobs in the context of purchasing and consuming value either as consumers or as professionals. These jobs arise from three different roles:

- **BUYER OF VALUE:** jobs related to buying value, such as comparing offers, deciding which products to buy, standing in a checkout line, completing a purchase, or taking delivery of a product or service.
- **COCREATOR OF VALUE:** jobs related to cocreating value with your organization, such as posting product reviews and feedback or even participating in the design of a product or service.
- **TRANSFERRER OF VALUE:** jobs related to the end of a value proposition's life cycle, such as canceling a subscription, disposing of a product, transferring it to others, or reselling it.

* The jobs to be done concept was developed independently by several business thinkers including Anthony Ulwick of the consulting firm Strategyn, consultants Rick Pedi and Bob Moesta, and Professor Denise Nitterhouse of Depaul University. It was popularized by Clay Christensen and his consulting firm Innosight and Anthony Ulwick's Strategyn.



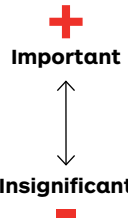
Download trigger questions to help find customer jobs

Job context

Customer jobs often depend on the specific context in which they are performed. The context may impose certain constraints or limitations. For example, calling somebody on the fly is different when you are traveling on a train than when you are driving a car. Likewise, going to the movies with your kids is different than going with your partner.

Job importance

It is important to acknowledge that not all jobs have the same importance to your customer. Some matter more in a customer's work or life because failing to get them done could have serious ramifications. Some are insignificant because the customer cares about other things more. Sometimes a customer will deem a job crucial because it occurs frequently or because it will result in a desired or unwanted outcome.



Customer Pains

Pains describe anything that annoys your customers before, during, and after trying to get a job done or simply prevents them from getting a job done. Pains also describe risks, that is, potential bad outcomes, related to getting a job done badly or not at all.

Seek to identify three types of customer pains and how severe customers find them:

Undesired outcomes, problems, and characteristics

Pains are functional (e.g., a solution doesn't work, doesn't work well, or has negative side effects), social ("I look bad doing this"), emotional ("I feel bad every time I do this"), or ancillary ("It's annoying to go to the store for this"). This may also involve undesired characteristics customers don't like (e.g., "Running at the gym is boring," or "This design is ugly").

Obstacles

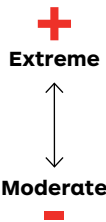
These are things that prevent customers from even getting started with a job or that slow them down (e.g., "I lack the time to do get this job done accurately," or e.g. "I can't afford any of the existing solutions").

Risks (undesired potential outcomes)

What could go wrong and have important negative consequences (e.g., "I might lose credibility when using this type of solution," or e.g. "A security breach would be disastrous for us").

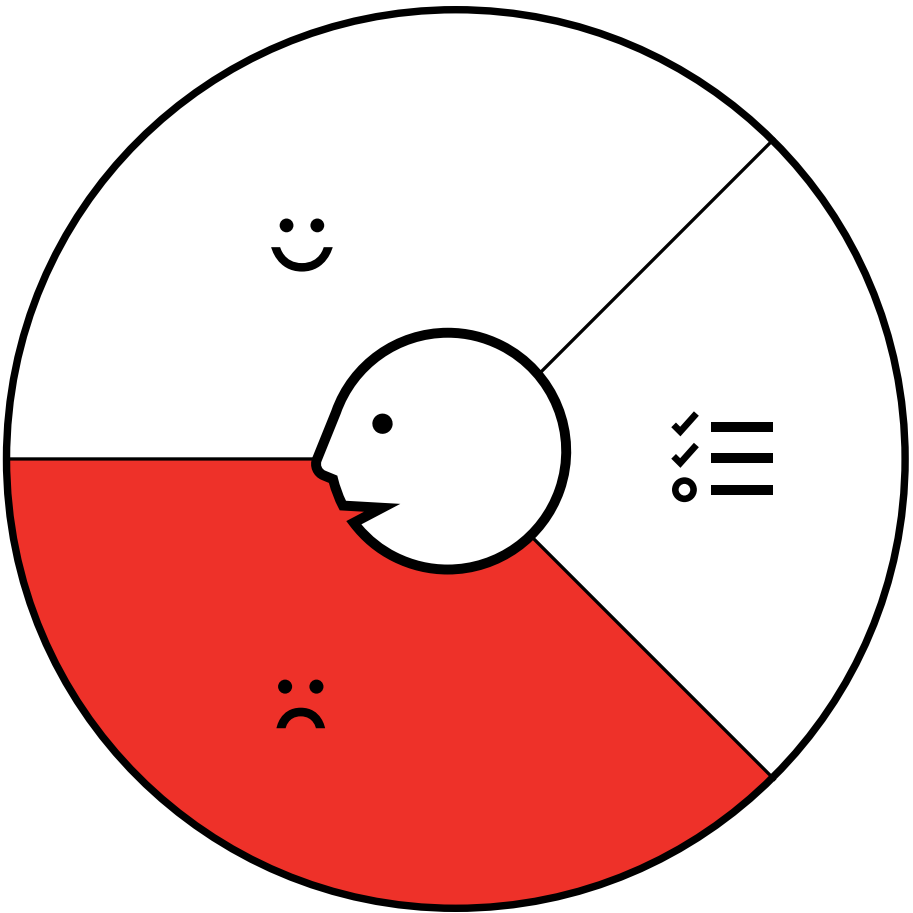
Pain severity

A customer pain can be extreme or moderate, similar to how jobs can be important or insignificant to the customer.



Tip: Make pains concrete.

To clearly differentiate jobs, pains, and gains, describe them as concretely as possible. For example, when a customer says "waiting in line was a waste of time," ask after how many minutes exactly it began to feel like wasted time. That way you can note "wasting more than x minutes standing in line." When you understand how exactly customers measure pain severity, you can design better pain relievers in your value proposition.



The following list of trigger questions can help you think of different potential customer pains:

- How do your customers define too costly? Takes a lot of time, costs too much money, or requires substantial efforts?
- What makes your customers feel bad? What are their frustrations, annoyances, or things that give them a headache?
- How are current value propositions underperforming for your customers? Which features are they missing? Are there performance issues that annoy them or malfunctions they cite?
- What are the main difficulties and challenges your customers encounter? Do they understand how things work, have difficulties getting certain things done, or resist particular jobs for specific reasons?
- What negative social consequences do your customers encounter or fear? Are they afraid of a loss of face, power, trust, or status?
- What risks do your customers fear? Are they afraid of financial, social, or technical risks, or are they asking themselves what could go wrong?
- What's keeping your customers awake at night? What are their big issues, concerns, and worries?
- What common mistakes do your customers make? Are they using a solution the wrong way?
- What barriers are keeping your customers from adopting a value proposition? Are there upfront investment costs, a steep learning curve, or other obstacles preventing adoption?

 Download trigger questions

Customer Gains

Gains describe the outcomes and benefits your customers want. Some gains are required, expected, or desired by customers, and some would surprise them. Gains include functional utility, social gains, positive emotions, and cost savings.

Seek to identify four types of customer gains in terms of outcomes and benefits:

Required gains

These are gains without which a solution wouldn't work. For example, the most basic expectation that we have from a smartphone is that we can make a call with it.

Expected gains

These are relatively basic gains that we expect from a solution, even if it could work without them. For example, since Apple launched the iPhone, we expect phones to be well-designed and look good.

Desired gains

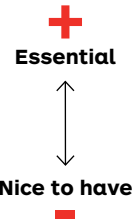
These are gains that go beyond what we expect from a solution but would love to have if we could. These are usually gains that customers would come up with if you asked them. For example, we desire smartphones to be seamlessly integrated with our other devices.

Unexpected gains

These are gains that go beyond customer expectations and desires. They wouldn't even come up with them if you asked them. Before Apple brought touch screens and the App Store to the mainstream, nobody really thought of them as part of a phone.

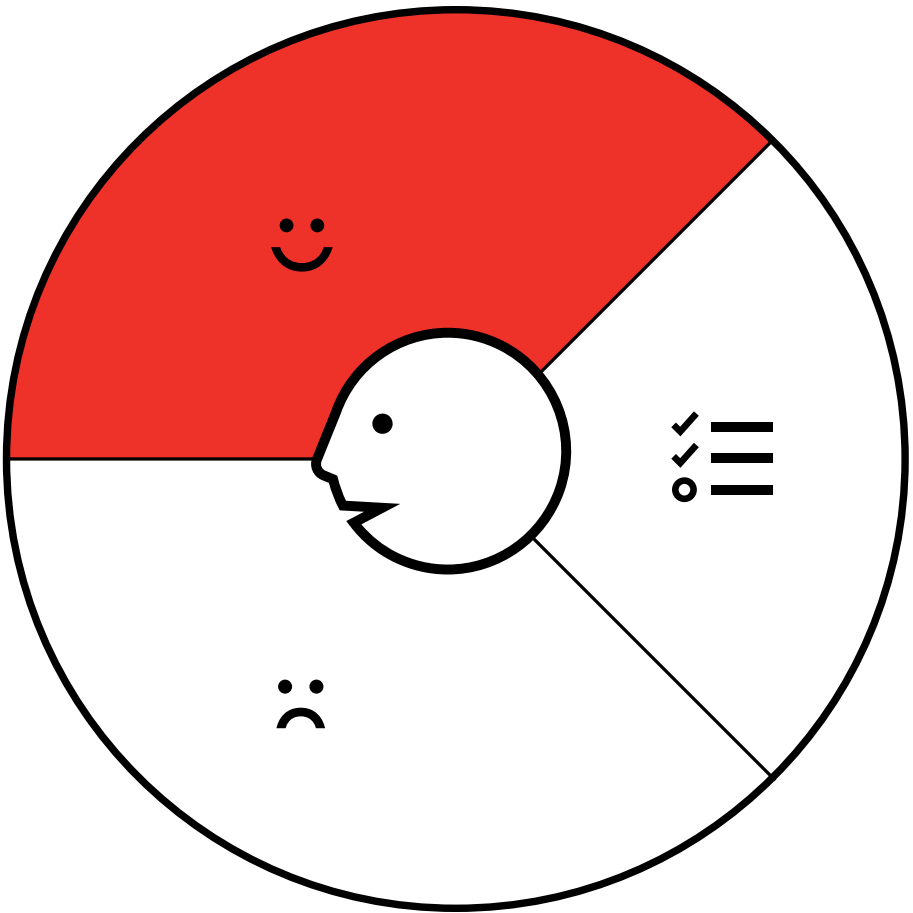
Gain relevance

A customer gain can feel essential or nice to have, just like pains can feel extreme or moderate to them.



Tip: Make gains concrete.

As with pains, it's better to describe gains as concretely as possible to clearly differentiate jobs, pains, and gains from one another. Ask how much they'd expect or dream of when a customer indicates "better performance" as a desired gain. That way you can note "would love an increased performance of more than x." When you understand how exactly customers measure gains (i.e., outcomes and benefits), you can design better gain creators in your value proposition.



The following list of trigger questions can help you think of different potential customer gains:

- Which savings would make your customers happy? Which savings in terms of time, money, and effort would they value?
- What quality levels do they expect, and what would they wish for more or less of?
- How do current value propositions delight your customers? Which specific features do they enjoy? What performance and quality do they expect?
- What would make your customers' jobs or lives easier? Could there be a flatter learning curve, more services, or lower costs of ownership?
- What positive social consequences do your customers desire? What makes them look good? What increases their power or their status?
- What are customers looking for most? Are they searching for good design, guarantees, specific or more features?
- What do customers dream about? What do they aspire to achieve, or what would be a big relief to them?
- How do your customers measure success and failure? How do they gauge performance or cost?
- What would increase your customers' likelihood of adopting a value proposition? Do they desire lower cost, less investment, lower risk, or better quality?

Download trigger questions

Profile of a “Business Book Reader”

We chose to use potential readers of this book to illustrate the customer profile. We deliberately went beyond jobs, pains, and gains merely related to reading books, since we intended to design an innovative and more holistic value proposition for businesspeople in general.

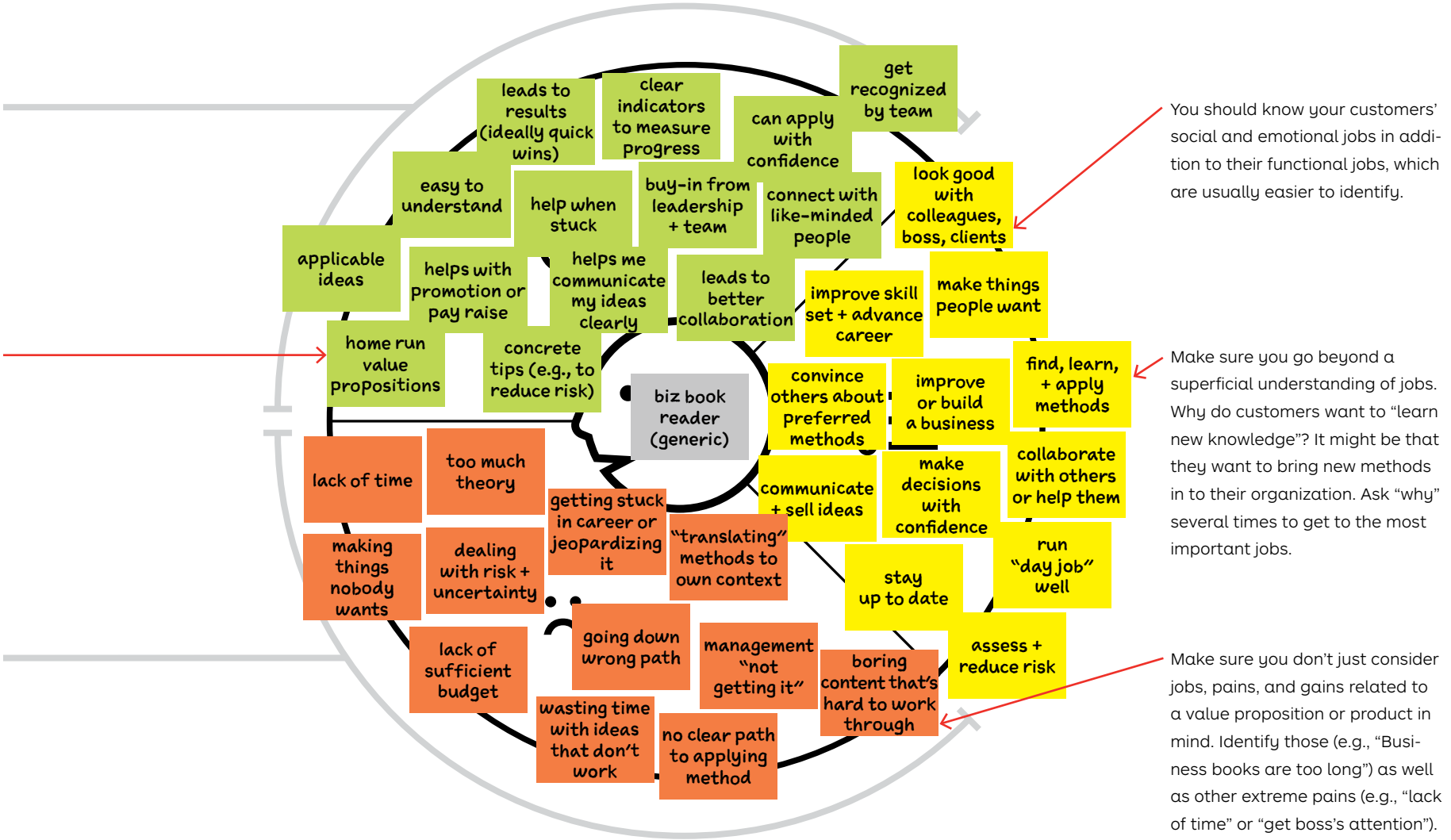
The customer profile sketched out on the right is informed by several interviews we conducted and thousands of interactions we had with workshop participants. However, it is not mandatory to start with preexisting customer knowledge. You may begin exploring ideas by sketching out a profile based on what you believe your potential customers look like. This is an excellent starting point to prepare customer interviews and tests regarding your assumptions about customer jobs, pains, and gains.



Gains are benefits, results, and characteristics that customers require or desire. They are outcomes of jobs or wanted characteristics of a value proposition that help customers get a job done well.

The more tangible and specific you make pains and gains, the better. For example, “examples from my industry” is more concrete than “relevant to my context.” Ask customers how they measure gains and pains. Investigate how they measure success or failure of a job they want to get done.

Make sure you deeply understand your customer. If you have only a few sticky notes on your profile, that probably indicates a lack of customer understanding. Unearth as many jobs, pains, and gains as you can. Search beyond those directly related to your value proposition.

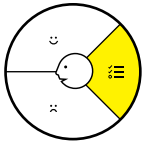


Ranking Jobs, Pains, and Gains

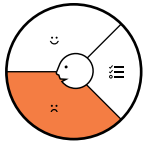
Although individual customer preferences vary, you need to get a sense of customer priorities. Investigate which jobs the majority consider important or insignificant. Find out which pains they find extreme versus merely moderate. Learn which gains they find essential and which are simply nice to have.

Ranking jobs, pains, and gains is essential in order to design value propositions that address things customers really care about. Of course, it's difficult to unearth what really matters to customers, but your understanding will improve with every customer interaction and experiment.

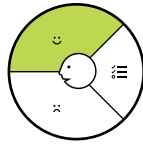
It doesn't matter if you start out with a ranking that is based on what you think is important to your potential customers as long as you strive to test that ranking until it truly reflects priorities from the customer's perspective.



Job importance
Rank jobs according to their importance to customers.



Pain severity
Rank pains according to how extreme they are in the customers' eyes.



Gain relevance
Rank gains according to how essential they are in the customers' eyes.



Step into Your Customers' Shoes



OBJECTIVE

Visualize what matters to your customers in a sharable format

OUTCOME

1 page actionable customer profile

How good is your understanding of your customers' jobs, pains, and gains? Map out a customer profile.



1

Select customer segment

Select a customer segment that you want to profile.

2

Identify customer jobs

Ask what tasks your customers are trying to complete. Map out all of their jobs by writing each one on an individual sticky note.

3

Identify customer pains

What pains do your customers have? Write down as many as you can come up with, including obstacles and risks.

4

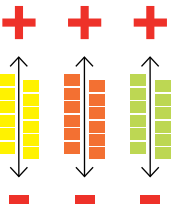
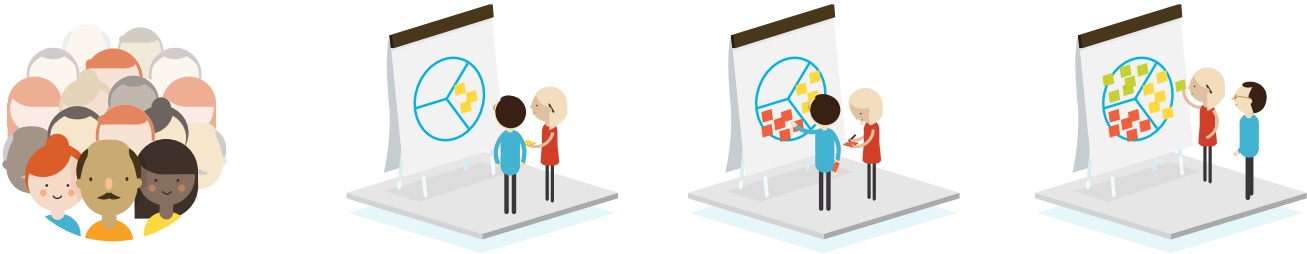
Identify customer gains

What outcomes and benefits do your customers want to achieve? Write down as many gains as you can come up with.

5

Prioritize jobs, pains and gains

Order jobs, pains and gains in a column each with the most important jobs, most extreme pains and essential gains on top and the moderate pains and nice to have gains at the bottom.

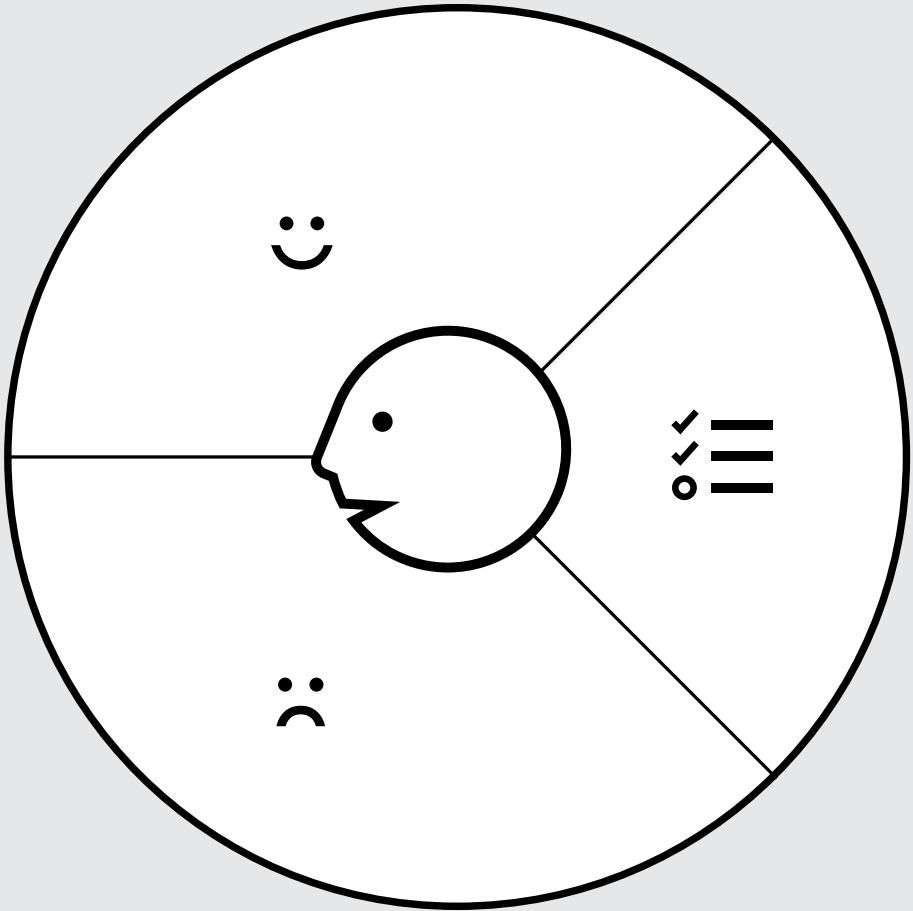


Instructions

Map the profile of one of your currently existing customer segments to practice using the customer profile. If you are working on a new idea, sketch out the customer segment you intend to create value for.

1. Download the Customer Profile canvas.
2. Grab a set of small sticky notes.
3. Map out your customer profile.

Customer Profile



Best Practices for Mapping Jobs, Pains, and Gains

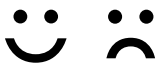
Avoid frequently committed mistakes when profiling a customer, and instead follow these best practices.

❌ Common Mistakes

Mixing several customer segments into one profile	Mixing jobs and outcomes	Focusing on functional jobs only and forgetting social and emotional jobs	Listing jobs, pains, and gains with your value proposition in mind	Identifying few jobs, pains, and gains	Being too vague in descriptions of pains and gains
---	--------------------------	---	--	--	--

✅ Best Practices

Make a Value Proposition Canvas for every different customer segment. If you sell to companies, ask yourself if you have different types of customers within each company (e.g., users, buyers).	Jobs are the tasks customers are trying to perform, the problems they are trying to solve, or the needs they are trying to satisfy, whereas gains are the concrete outcomes they want to achieve—or avoid and eliminate in the case of pains.	Sometimes social or emotional jobs are even more important than the “visible” functional jobs. “Looking good in front of others” might be more important than finding a great technical solution that helps complete the job effectively.	When you map your customer, you should proceed like an anthropologist and “forget” what you are offering. For example, a business publisher should not map jobs, pains, and gains merely related to books, because a reader has the choice between business books, consultants, YouTube videos, or even completing an MBA program or training. Go beyond the jobs, pains, and gains you intend or hope to address with your value proposition.	A good customer profile is full of sticky notes, because most customers have a lot of pains and expect or desire a lot of gains. Map out all your (potential) customers’ important jobs, extreme pains, and essential gains.	Make pains and gains tangible and concrete. Rather than just writing “salary increase” in gains, specify how much of an increase a customer is seeking. Rather than writing “takes too long” in pains, indicate how long “too long” actually is. This will allow you to understand how exactly customers measure success and failure.
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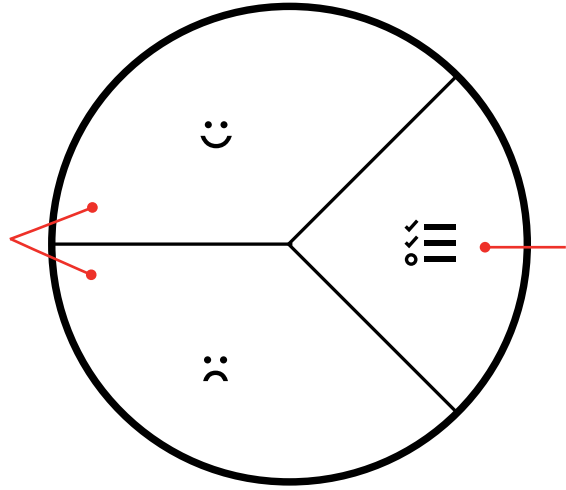


Pains vs. Gains

When you get started with the customer profile, you might simply put the same ideas in pains and gains as opposites of each other. For example, if one of the customers’ jobs to be done is “earn more money,” you might start by adding “salary increase to gains” and “salary decrease” to pains.

Here’s a better way to do it:

- Find out precisely how much more money the customer expects to earn so it feels like a gain and investigate what decrease would feel like a pain.
- In the pains, add the barriers that prevent or make it difficult to get a job done. In our example the pain might be “my employer doesn’t give raises.”
- In the pains, add the risks related to not getting the job done. In our example the pain could be “might not be able to afford my child’s future college tuition.”



Ask “why” several times until you really understand your customers’ jobs to be done.

Another issue when you get started with the customer profile is that you might settle with a superficial understanding of your customer’s jobs. To avoid this, you need to ask yourself why a customer wants to perform a certain job to dig deeper toward the real motivations.

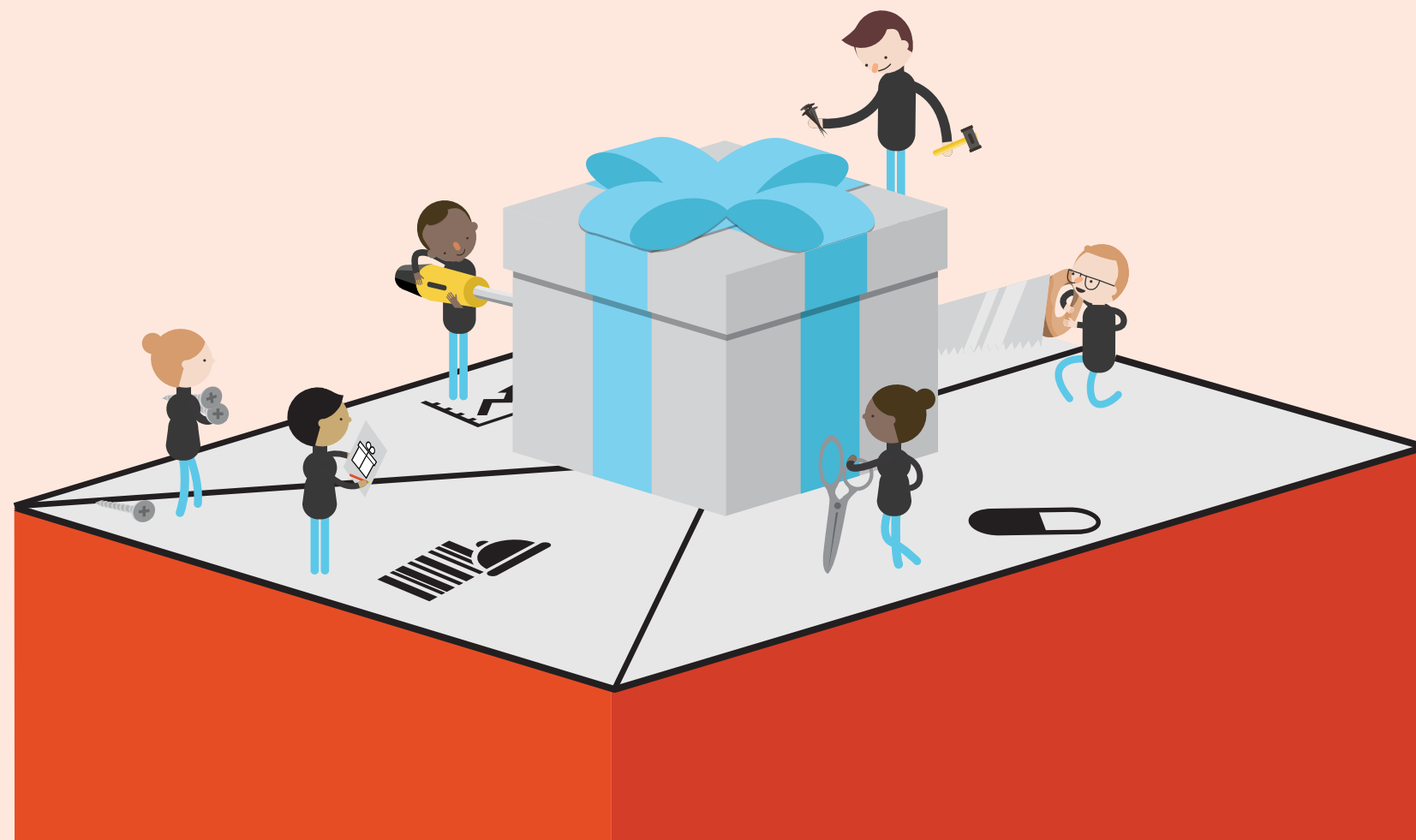
For example, why might a customer want to learn a foreign language? Maybe because the “real” customer job to be done is to improve his CV. Why does he want to improve his CV? Maybe because he wants to earn more money.

Don’t settle until you really understand the underlying jobs to be done that really drive customers.

1.2

26

Value Map





Products and Services

This is simply a list of what you offer. Think of it as all the items your customers can see in your shop window — metaphorically speaking. It’s an enumeration of all the products and services your value proposition builds on. This bundle of products and services helps your customers complete either functional, social, or emotional jobs or helps them satisfy basic needs. It is crucial to acknowledge that products and services don’t create value alone only in relationship to a specific customer segment and their jobs, pains, and gains.

Your list of products and services may also include supporting ones that help your customers perform the roles of buyer (those that help customers compare offers, decide, and buy), co-creator (those that help customers co-design value propositions), and transferrer (those that help customers dispose of a product).

Your value proposition is likely to be composed of various types of products and services:

Physical/tangible

Goods, such as manufactured products.

Intangible

Products such as copyrights or services such as after-sales assistance.

Digital

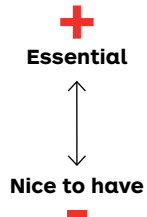
Products such as music downloads or services such as online recommendations.

Financial

Products such as investment funds and insurances or services such as the financing of a purchase.

Relevance

It is essential to acknowledge that not all products and services have the same relevance to your customers. Some products and services are essential to your value proposition, some are merely nice to have.





Pain Relievers

Pain relievers describe how exactly your products and services alleviate specific customer pains. They explicitly outline how you intend to eliminate or reduce some of the things that annoy your customers before, during, or after they are trying to complete a job or that prevent them from doing so.

Great value propositions focus on pains that matter to customers, in particular extreme pains. You don't need to come up with a pain reliever for every pain you've identified in the customer profile — no value proposition can do this. Great value propositions often focus only on few pains that they alleviate extremely well.

The following list of trigger questions can help you think of different ways your products and services may help your customers alleviate pains.

Ask yourself: Could your products and services...

- produce savings? In terms of time, money, or efforts.
- make your customers feel better? By killing frustrations, annoyances, and other things that give customers a headache.
- fix underperforming solutions? By introducing new features, better performance, or enhanced quality.
- put an end to difficulties and challenges your customers encounter? By making things easier or eliminating obstacles.
- wipe out negative social consequences your customers encounter or fear? In terms of loss of face or lost power, trust, or status.
- eliminate risks your customers fear? In terms of financial, social, technical risks, or things that could potentially go wrong.
- help your customers better sleep at night? By addressing significant issues, diminishing concerns, or eliminating worries.
- limit or eradicate common mistakes customers make? By helping them use a solution the right way.
- eliminate barriers that are keeping your customer from adopting value propositions? Introducing lower or no upfront investment costs, a flatter learning curve, or eliminating other obstacles preventing adoption.

Relevance

A pain reliever can be more or less valuable to the customer. Make sure you differentiate between essential pain relievers and ones that are nice to have. The former relieve extreme issues, often in a radical way, and create a lot of value. The latter merely relieve moderate pains.





Gain Creators

Gain Creators describe how your products and services create customer gains. They explicitly outline how you intend to produce outcomes and benefits that your customer expects, desires, or would be surprised by, including functional utility, social gains, positive emotions, and cost savings.

As with pain relievers, gain creators don't need to address every gain identified in the customer profile. Focus on those that are relevant to customers and where your products and services can make a difference.

The following list of trigger questions can help you think of different ways your products and services may help your customers obtain required, expected, desired, or unexpected outcomes and benefits.

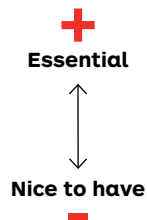
Ask yourself: Could your products and services...

- create savings that please your customers? In terms of time, money, and effort.
- produce outcomes your customers expect or that exceed their expectations? By offering quality levels, more of something, or less of something.
- outperform current value propositions and delight your customers? Regarding specific features, performance, or quality.
- make your customers' work or life easier? Via better usability, accessibility, more services, or lower cost of ownership.
- create positive social consequences? By making them look good or producing an increase in power or status.
- do something specific that customers are looking for? In terms of good design, guarantees, or specific or more features.
- fulfill a desire customers dream about? By helping them achieve their aspirations or getting relief from a hardship?
- produce positive outcomes matching your customers' success and failure criteria? In terms of better performance or lower cost.

- help make adoption easier? Through lower cost, fewer investments, lower risk, better quality, improved performance, or better design.
- help make adoption easier? Through lower cost, improved investments, lower risk, better quality, improved performance, or better design.

Relevance

A gain creator can produce more or less relevant outcomes and benefits for the customer just like we have seen for pain relievers. Make sure you differentiate between essential and nice to have gain creators.

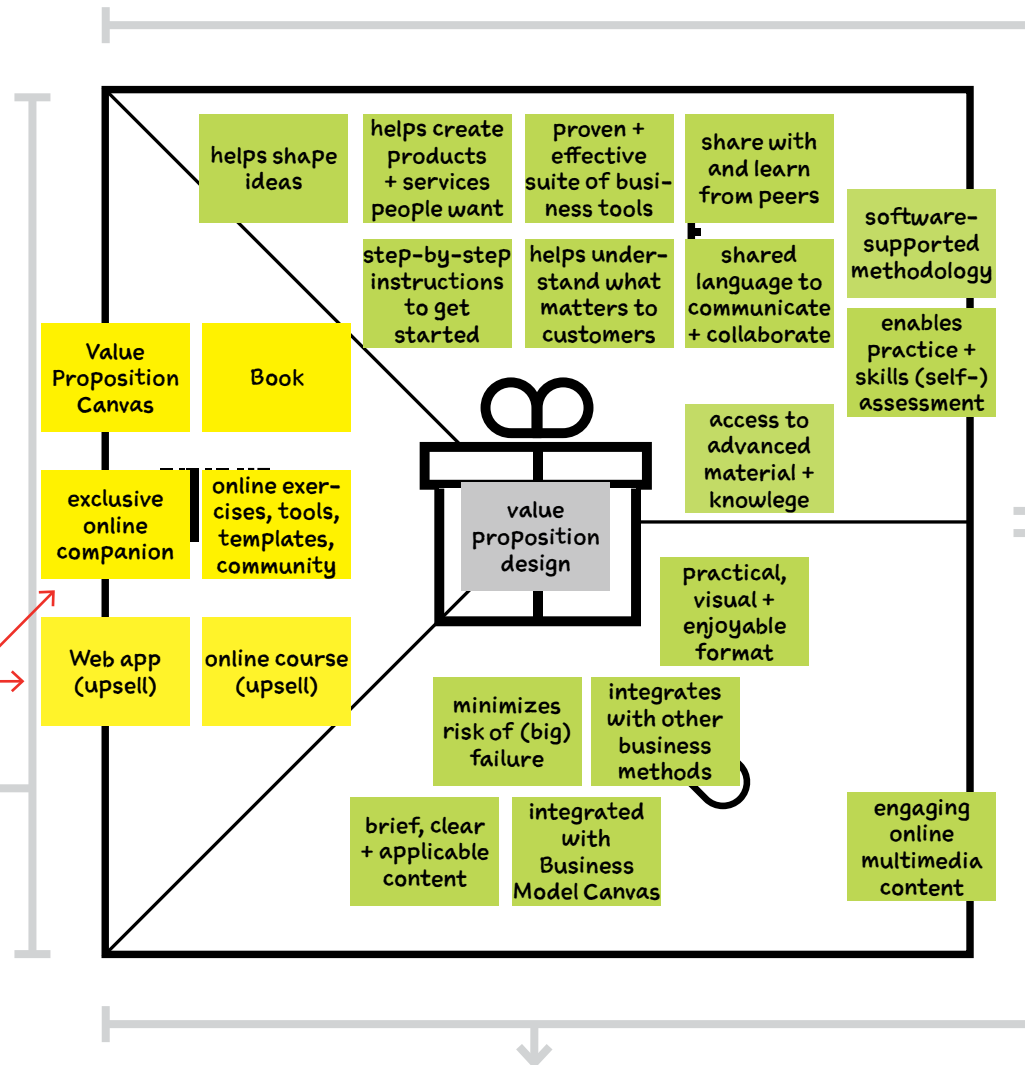


Mapping the Value Proposition of Value Proposition Design

Remarkable value propositions focus on jobs, pains, and gains that matter to customers and achieve those exceedingly well. Again, you should not try to address all customer pains and gains. Focus on those that will make a difference for your customer.

It's okay to aggregate several value propositions into one.

"Naked" list of the products and services that your value proposition builds on to target a specific customer segment.



Pain relievers outline how exactly your products and services kill customer pains. Each pain reliever addresses at least one or more pains or gains. Don't add products or services here.

Gain creators highlight how exactly your products and services help customers achieve gains. Each gain creator addresses at least one or more pains or gains. Don't add products or services here.



Formal Map of how we believe the products and services around this book create value for customers



Map How Your Products and Services Create Value

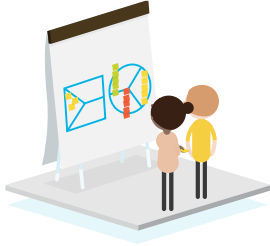
OBJECTIVE	OUTCOME
Describe explicitly how your products and services create value	1 page map of value creation

Instructions

Sketch out the value map of one of your existing value propositions. For example, use one that targets the customer segment you profiled in the previous exercise. It's easier to get started with an existing value proposition. However, if you don't have one yet, sketch out how you intend to create value with a new idea. We will cover the creation of new value propositions more specifically later on in this book.

- For now:
- 1. Grab the Customer Profile you previously completed.
 - 2. Download the Value Map.
 - 3. Grab a set of small sticky notes.
 - 4. Map out how you create value for your customers.

The Value Map



1

List products and services

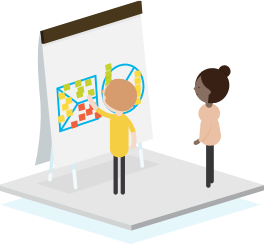
List all the products and services of your existing value proposition.



2

Outline pain relievers

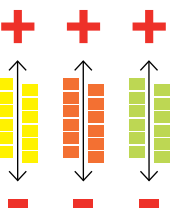
Outline how your products and services currently help customers alleviate pains by eliminating undesired outcomes, obstacles, or risks. Use one sticky note per pain reliever.



3

Outline gain creators

Explain how your products and services currently create expected or desired outcomes and benefits for customers. Use one sticky note per gain creator.



4

Rank by order of importance

Rank products and services, pain relievers, and gain creators according to how essential they are to customers.





Pain relievers vs. Gain creators

Pain relievers and gain creators both create value for the customer in different ways. The difference is that the former specifically addresses pains in the customer profile, while the latter specifically addresses gains. It is okay if either of them addresses pains and gains at the same time. The main goal of these two areas is to make the customer value creation of your products and services explicit.



What is the difference with the pains and gains in the customer profile?

Pain relievers and gain creators are distinctly different from pains and gains. You have control over the former, whereas you don't have control over the latter. You decide (i.e., design) how you intend to create value by addressing specific jobs, pains, and gains. You don't decide over which jobs, pains, and gains the customer has. And no value proposition addresses all of a customer's jobs, pains, and gains. The best ones address those that matter most to customers and do so extremely well.

Best Practices for Mapping Value Creation

✗ Common Mistakes

- | | | | |
|--|---|--|---|
| List all your products and services rather than just those targeted at a specific segment. | Add products and services to the pain reliever and gain creator fields. | Offer pain relievers and gain creators that have nothing to do with the pains and gains in the customer profile. | Make the unrealistic attempt to address all customer pains and gains. |
|--|---|--|---|

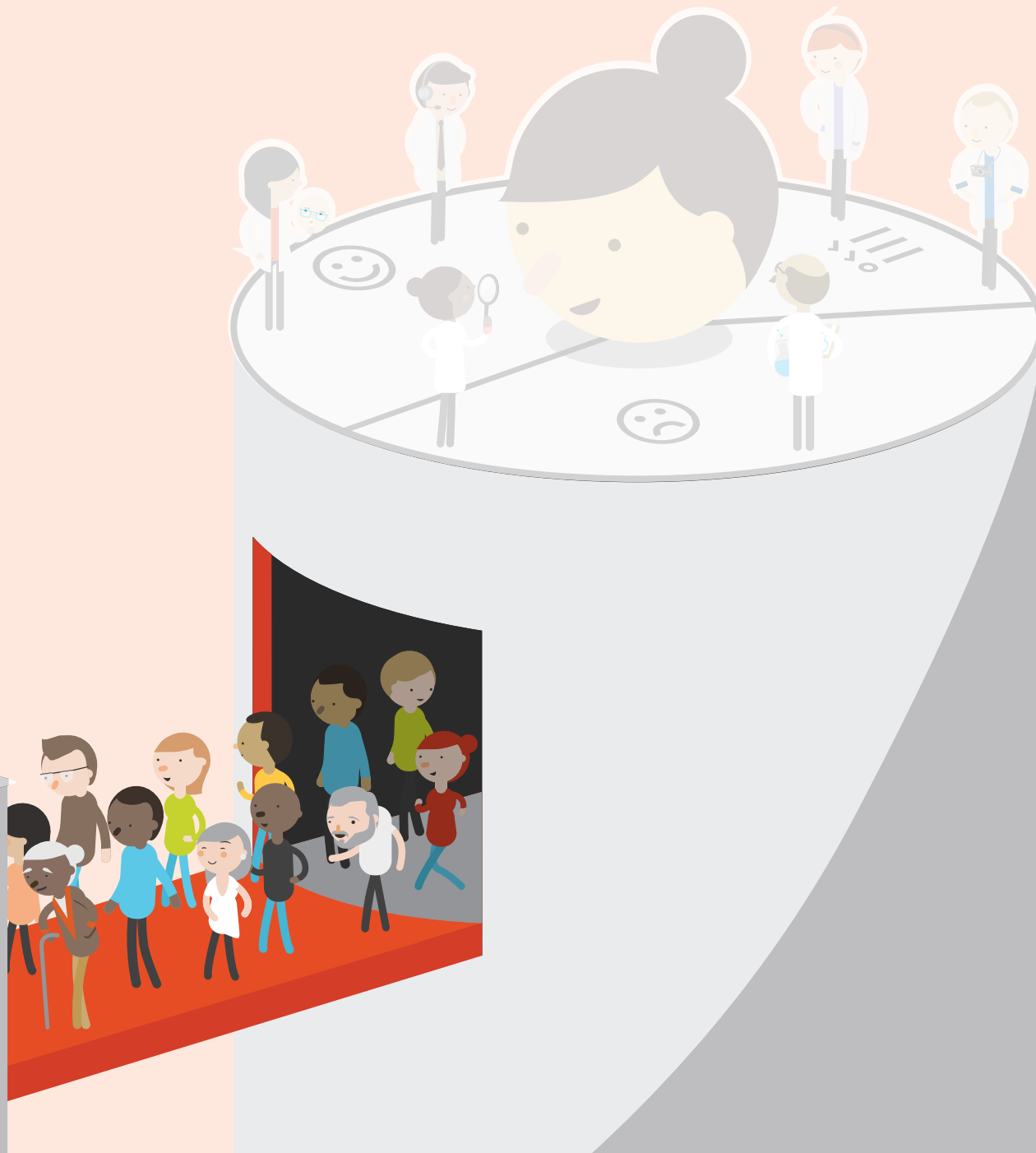
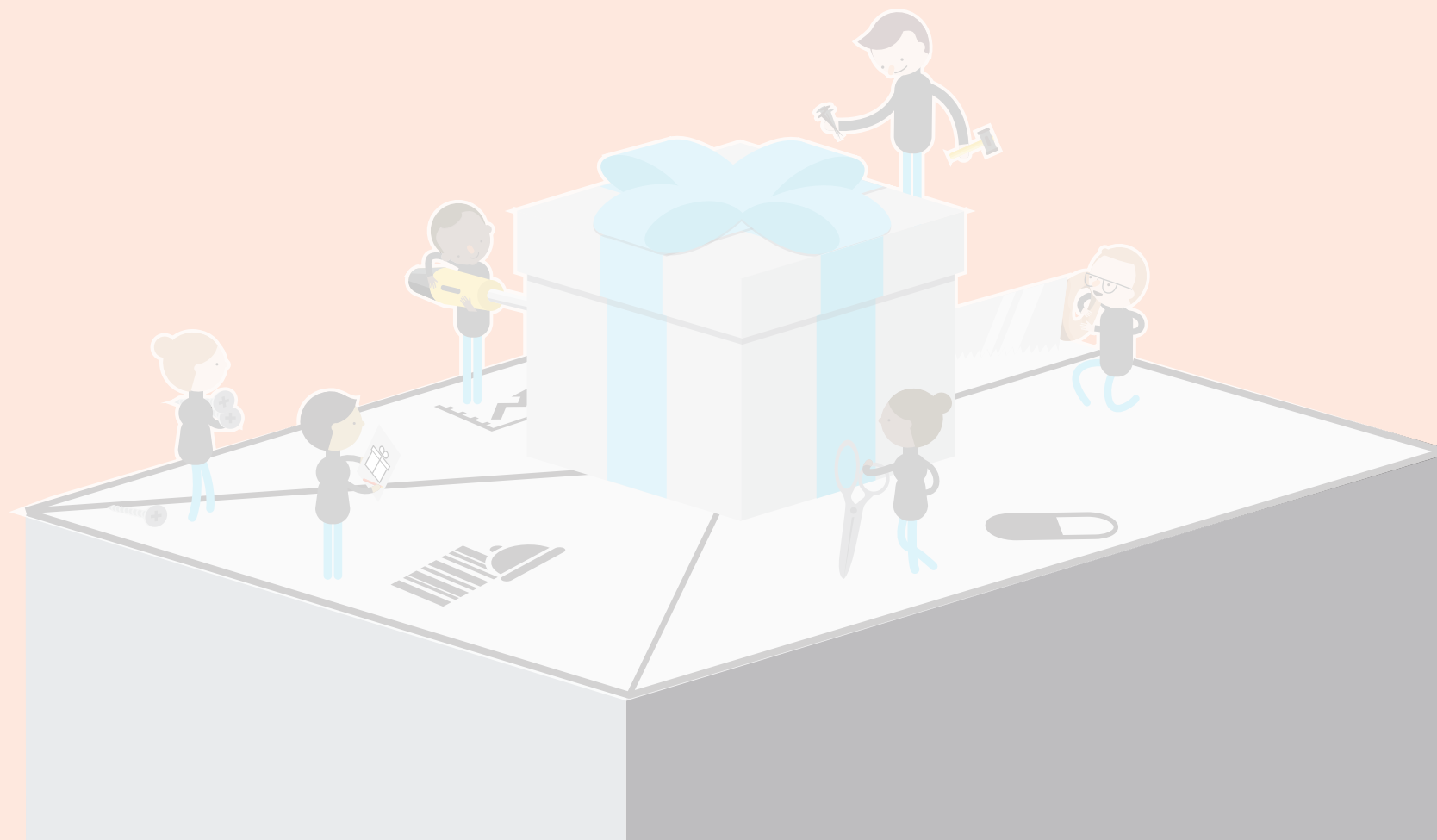
✓ Best Practices

- | | | | |
|--|--|---|--|
| Products and services create value only in relationship to a specific customer segment. List only the bundle of products and services that jointly form a value proposition for a specific customer segment. | Pain relievers and gain creators are explanations or characteristics that make the value creation of your products and services explicit. Examples include “helps save time”, and “well-designed.” | Remember that products and services don't create value in absolute terms. It is always relative to customers' jobs, pains, and gains. | Realize that great value propositions are about making choices regarding which jobs, pains, and gains to address and which to forgo. No value proposition addresses all of them. If your value map indicates so, it's probably because you're not honest about all the jobs, pains, and gains that should be in your customer profile. |
|--|--|---|--|

40

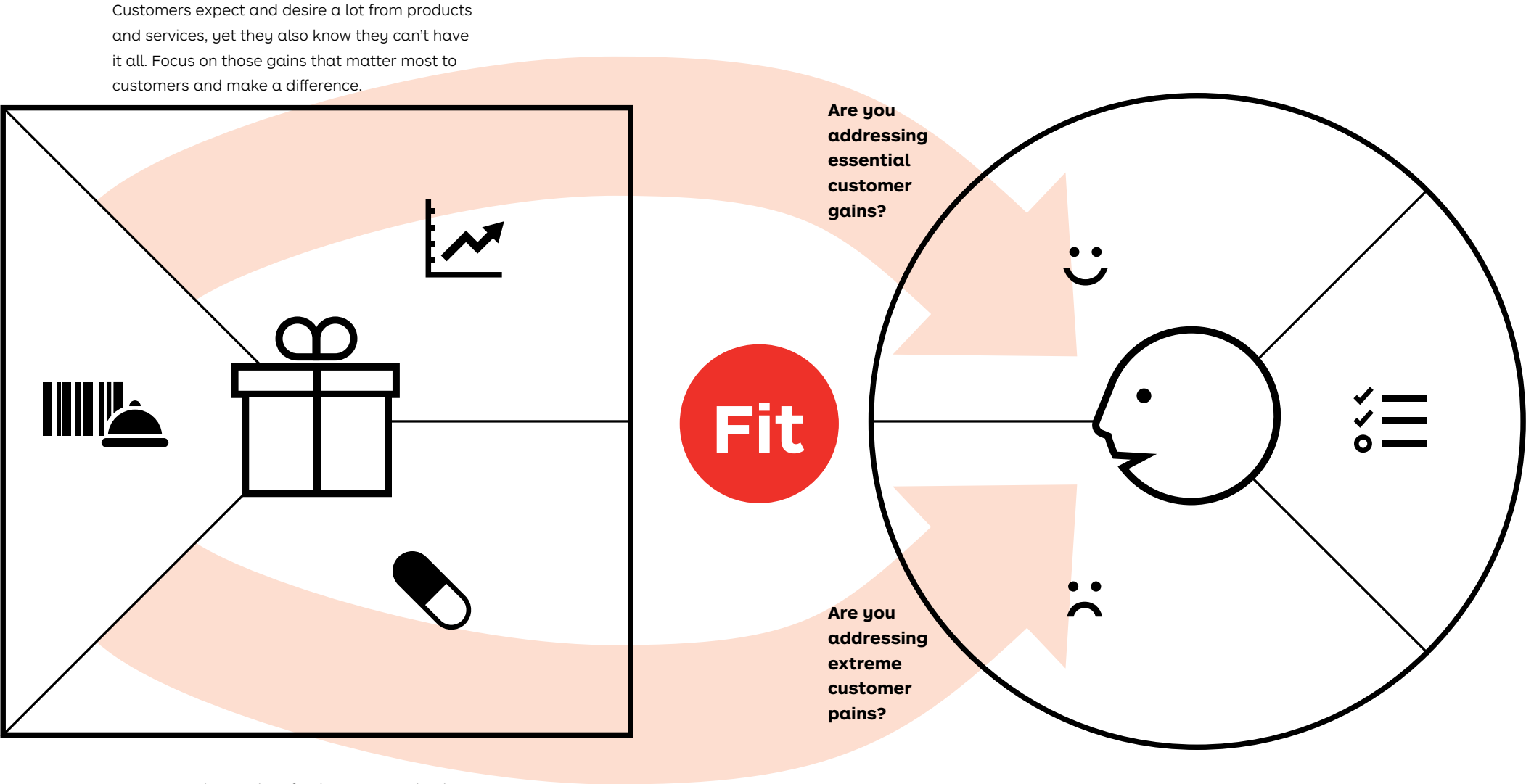
1.3

Fit



Fit

You achieve fit when customers get excited about your value proposition, which happens when you address important jobs, alleviate extreme pains, and create essential gains that customers care about. As we will explain throughout this book, Fit is hard to find and maintain. Striving for fit is the essence of value proposition design.



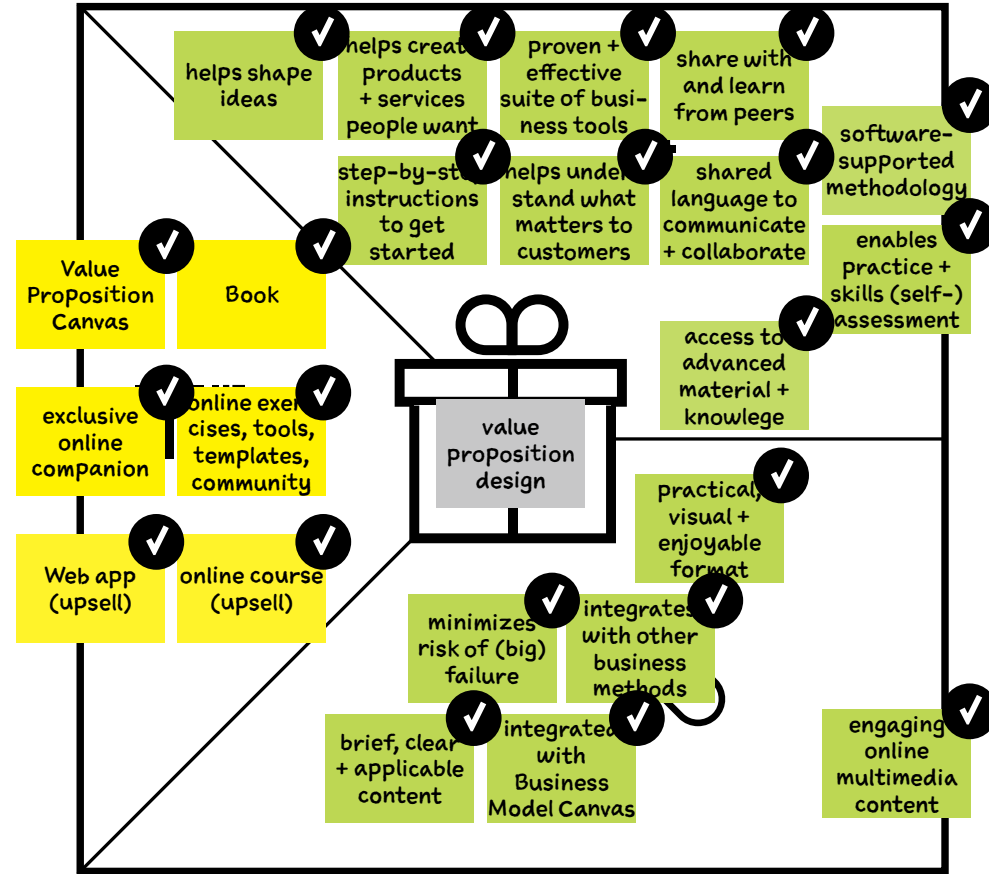
Customers expect and desire a lot from products and services, yet they also know they can't have it all. Focus on those gains that matter most to customers and make a difference.

Customers have a lot of pains. No organization can reasonably address all of them. Focus on those headaches that matter most and are insufficiently addressed.

Your customers are the judge, jury, and executioner of your value proposition. They will be merciless if you don't find fit!

Fit?

When we designed the value proposition for this book, we strived to address some of the most important jobs, pains, and gains that potential customers have and that are insufficiently addressed by current business book formats.



Check marks signify that products and services relieve pains or create gains and directly address one of the customers' jobs, pains, or gains.



Xs show which jobs, pains, and gains the value proposition does not address.

Check Your Fit



46

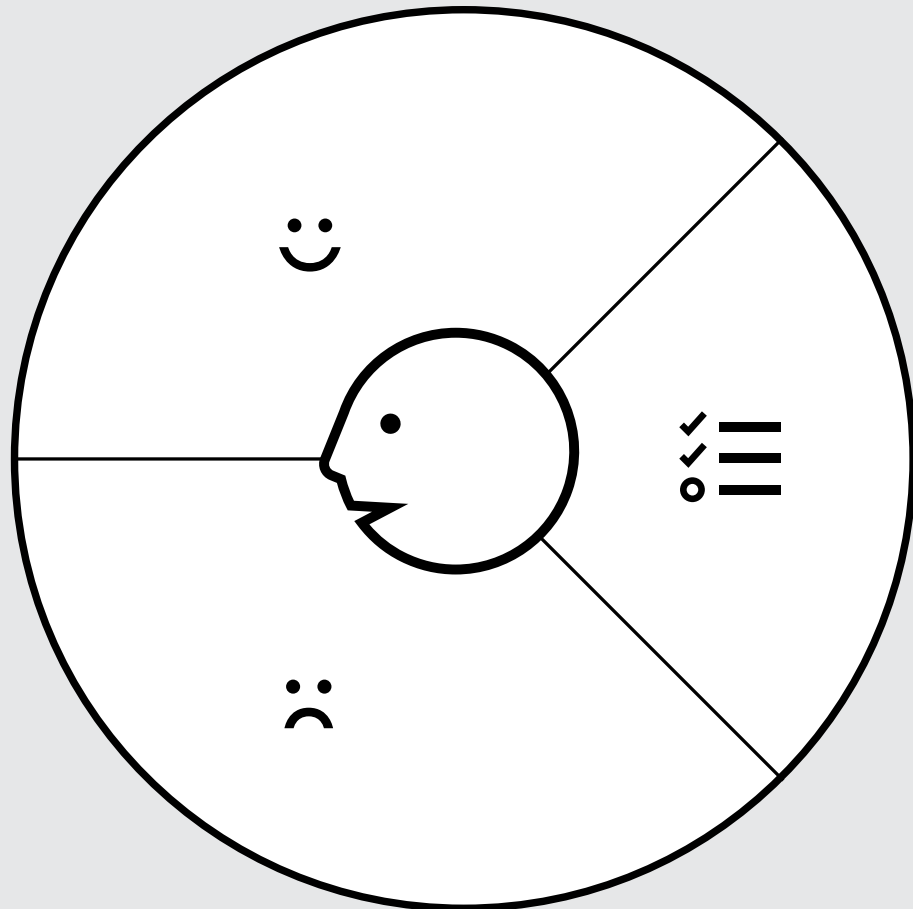
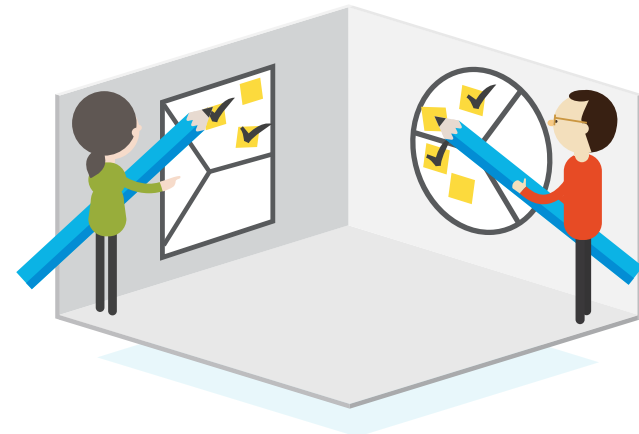
OBJECTIVE
Verify if you are addressing what matters to customers

OUTCOME
Connection between your products and services and customer jobs, pains, and gains

 Do this exercise online

1 Instructions

Bring in the Value Proposition Map and Customer Segment Profile you completed earlier. Go through Pain Relievers and Gain Creators one by one, and check to see whether they fit a customer job, pain, or gain. Put a check mark on each one that does.



2 Outcome

If a Pain reliever or Gain creator doesn't Fit anything, it may not be creating customer value. Don't worry if you haven't checked all pains/gains — you can't satisfy them all. Ask yourself, how well does your Value Proposition really fit your Customer?

 Download the Value Proposition Canvas pdf



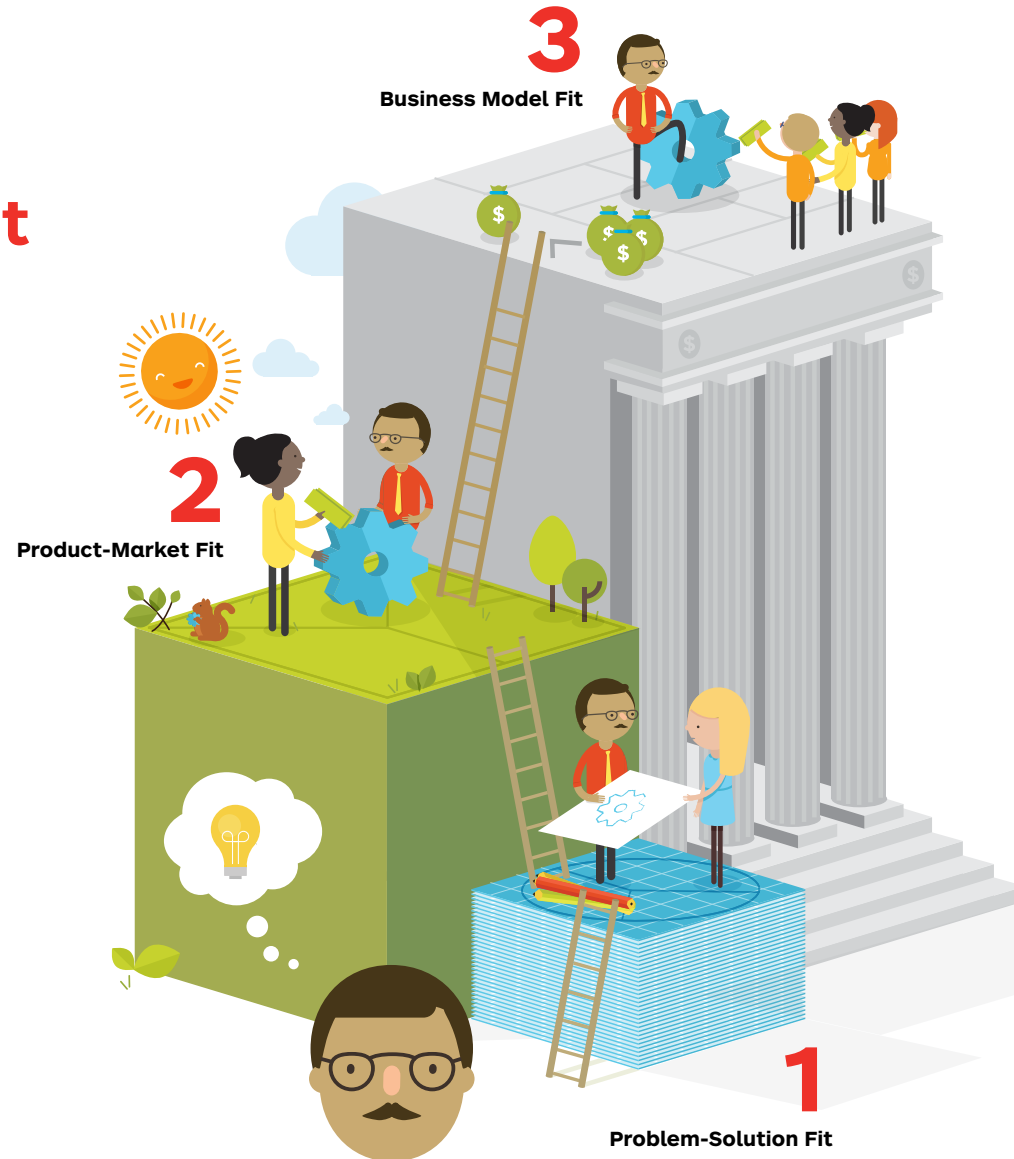
47

Three Kinds of Fit

Searching for Fit is the process of designing value propositions around products and services that meet jobs, pains, and gains that customers really care about. Fit between what a company offers and what customers want is the number one requirement of a successful value proposition.

Fit happens in three stages. The first occurs when you identify relevant customer jobs, pains, and gains you believe you can address with your value proposition. The second occurs when customers positively react to your value proposition and it gets traction in the market. The start-up movement calls these problem-solution fit and product-market fit, respectively. The third occurs when you find a business model that is scalable and profitable.

Get "Fit" poster



On Paper —————→

1. Problem-Solution Fit

Problem-solution fit takes place when you

- Have evidence that customers care about certain jobs, pains, and gains.
- Designed a value proposition that addresses those jobs, pains and gains.

At this stage you don't yet have evidence that customers actually care about your value proposition.

This is when you strive to identify the jobs, pains, and gains that are most relevant to customers and design value propositions accordingly. You prototype multiple alternative value propositions to come up with the ones that produce the best fit. The fit you achieve is not yet proven and exists mainly on paper. Your next steps are to provide evidence that customers care about your value proposition or start over with designing a new one.



In the Market —————→

2. Product-Market Fit

Product-market fit takes place when you

- Have evidence that your products and services, pain relievers, and gain creators are actually creating customer value and getting traction in the market.

During this second phase, you strive to validate or invalidate the assumptions underlying your value proposition. You will inevitably learn that many of your early ideas simply don't create customer value (i.e., customers don't care) and will have to design new value propositions. Finding this second type of fit is a long and iterative process; it doesn't happen over night.



In the Bank —————→

3. Business Model Fit

Business model fit takes place when you

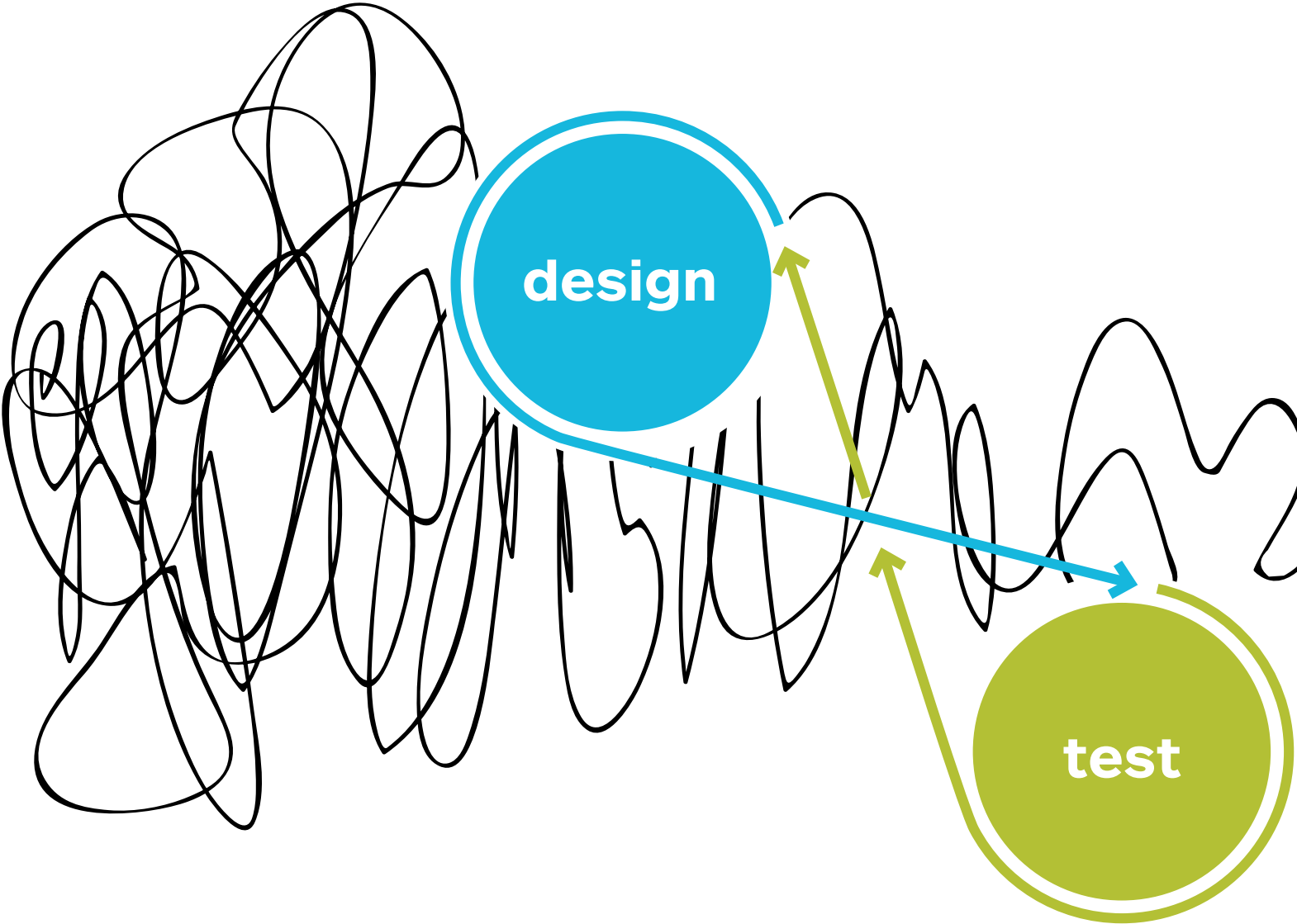
- Have evidence that your value proposition can be embedded in a profitable and scalable business model.

A great value proposition without a great business model may mean suboptimal financial success or even lead to failure. No value proposition — however great — can survive without a sound business model.

The search for business model fit entails a laborious back and forth between designing a value proposition that creates value for customers and a business model that creates value for your organization. You don't have business model fit until you can generate more revenues with your value proposition than you incur costs to create and deliver it (or "them" in the case of platform models with more than one interdependent value propositions).

Design, Test, Repeat

The search for value propositions that meet customer jobs, pains, and gains is a continuous back and forth between designing prototypes and testing them. The process is iterative rather than sequential. The goal of *Value Proposition Design* is to test ideas as quickly as possible in order to learn, create better designs, and test again.



design

2

Kick-start value proposition design with Prototyping Possibilities ^{p. 74} for one of your Starting Points ^{p. 86}. Shape your value propositions by Understanding Customers ^{p. 104}, then select which ones you want to further explore by Making Choices ^{p. 120} and Finding the Right Business Model ^{p. 142}. If you are an existing company, discover the particularities of Designing in an Established Organization ^{p. 158}.



What's Prototyping?

Use the activity of making quick and rough study models of your idea to explore alternatives, shape your value proposition, and find the best opportunities. Prototyping is common in the design professions for physical artifacts. We apply it to the concept of value propositions to rapidly explore possibilities before testing and building real products and services.

DEF-I-NI-TION
Prototyping
The practice of building quick, inexpensive, and rough study models to learn about the desirability, feasibility and viability of alternative value propositions and business models.

Quickly explore radically different directions for the same idea with the following prototyping techniques before refining one in particular.



Napkin Sketches
➔ p. 80

Make alternatives tangible with napkin sketches. Use a single sketch for every potential direction your idea could take.

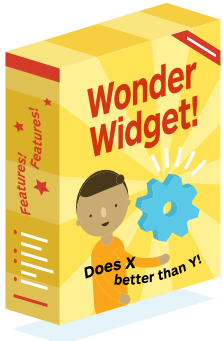
Our  help(s)  who
want to  by  and
 . (unlike )

Ad-libs
➔ p. 82
Pinpoint how different alternatives create value by filling in the blanks in short ad-libs.



Value Proposition Canvases
➔ p. 84

Flesh out possible directions with the Value Proposition Canvas. Understand which jobs, pains, and gains each alternative is addressing.



Representation of a Value Proposition
➔ p. 234

Help customers and partners understand potential value propositions by bringing them to life — yet without building them.

- Tips**
- Spend a maximum of 5 to 15 minutes on sketching out your early prototypes.
 - Always use a visible timer and stick to a predefined time frame.
 - Don't discuss too long which one of several possible directions to prototype. Prototype several of them quickly and then compare.
 - Remember constantly that prototyping is an exploratory tool. Don't spend time on the details of a prototype that is likely to change radically anyway.



Minimum Viable Product
➔ p. 223

Build a minimum feature set that brings your value proposition to life and allows testing it with customers and partners.

More in section 3. Test, ➔ p. 172

The Journalist: Interview Your Customers

OBJECTIVE

Gain a better customer understanding

OUTCOME

First lightly validated customer profile(s)

Talk to customers to gain insights relevant to your context. Use the Value Proposition Canvas to prepare interviews and organize the chaotic mass of information that will be coming at you during the interviews process.



1

Create a Customer Profile

Sketch out the jobs, pains, and gains you believe characterize the customer you are targeting. Rank jobs, pains, and gains in order of importance.

2

Create an interview outline

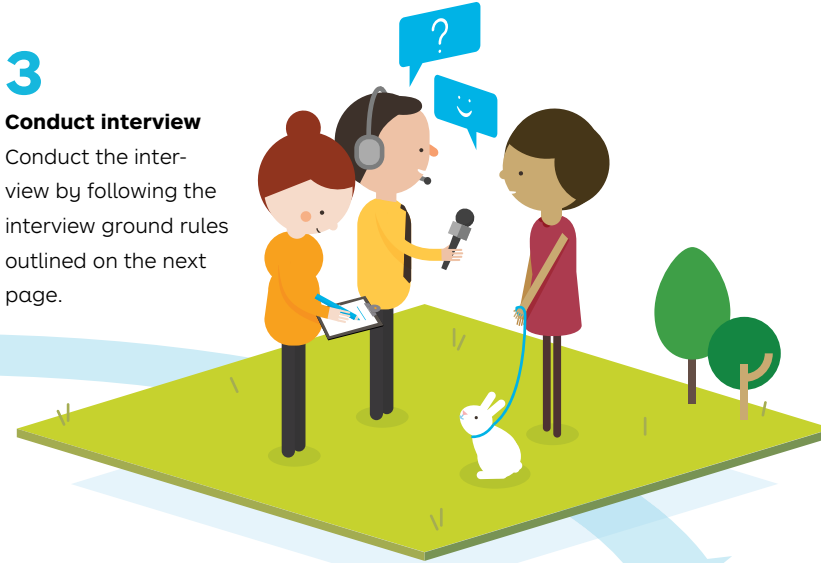
Ask yourself what you want to learn. Derive the interview questions from your customer profile. Ask about the most important jobs, pains, and gains.



3

Conduct interview

Conduct the interview by following the interview ground rules outlined on the next page.



5

Review interview

Assess if you need to review the interview questions based on what you learned.

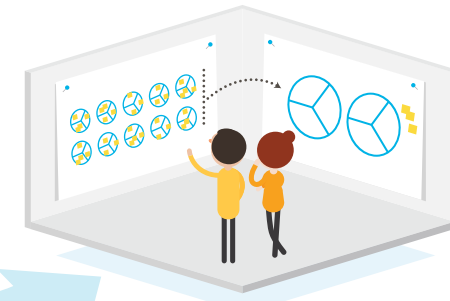


4

Capture

Map out the jobs, pains, and gains you learned about in the interview on an empty customer profile.

Make sure you also capture business model learnings. Write down your most important insights.



6

Search for patterns

Can you discover similar jobs, pains, and gains? What stands out? What is similar or different among interviewees?

Why are they similar or different? Can you detect specific (recurring) contexts that influence jobs, pains, and gains?

Tip

Capture your biggest insights from all the interviews.

7

Synthesize

Make a separate synthesized customer profile for every customer segment that emerges from all your interviews. Write down your most important insights on sticky notes.

10x

test

3

Reduce the risk and uncertainty of your ideas for new and improved value propositions by deciding What to Test ^{p. 188}. Then, get started with Testing Step by Step ^{p. 196} and drawing from the Experiment Library ^{p. 214} before Bringing it All Together ^{p. 238} and measuring your progress.

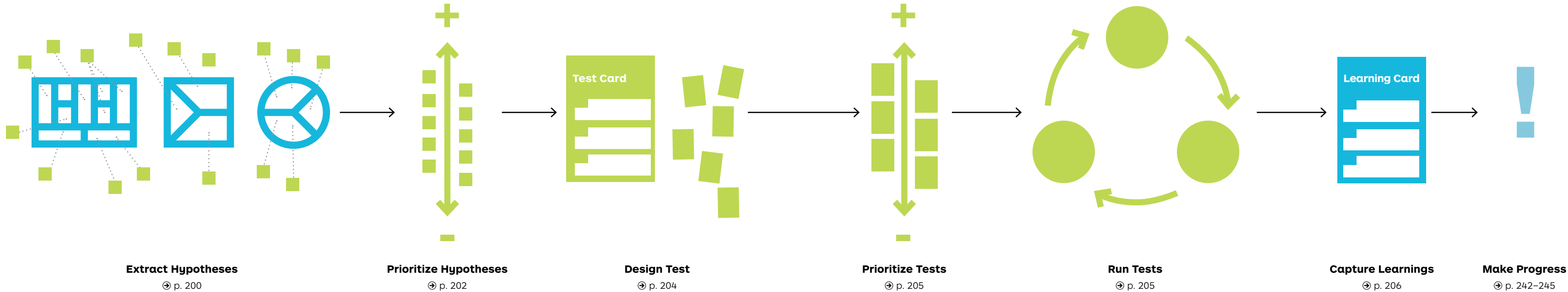


Overview of the Testing Process



198

STRATEGYZER.COM / VPD / TEST / 3.2



199

STRATEGYZER.COM / VPD / TEST / 3.2



204

Design Your Experiments with the Test Card

Structure all of your experiments with this simple Test Card. Start by testing the most critical hypotheses.

1

Design an experiment

Describe the hypothesis that you want to test.

Outline the experiment you are going to design to verify if the hypothesis is correct or needs to be rejected and revised.

Define what data you are going to measure.

Define a target threshold to validate or invalidate the tested hypothesis.
Caveat: Consider following up with additional experiments to increase certainty.

How will I learn?

Download the Test Card and do the exercise online

Test Card

Strategyzer

AdWords campaign	May 1, 2014
Natasha Hanshaw	2 weeks

STEP 1: HYPOTHESIS

We believe that businesspeople are looking for methods to help them design better value propositions.

Critical:

STEP 2: TEST

To verify that, we will launch a Google AdWords campaign around the search term "value proposition".

Test Cost: Data Reliability:

STEP 3: METRIC

And measure how the advertising campaign performs in terms of clicks.

Time Required:

STEP 4: CRITERIA

We are right if if we can achieve a click-through rate (CTR) of at least 2 percent (number of clicks divided by total impressions of ad).

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The makers of Business Model Generation and Strategyzer

Name the test, set a due date, and list the person responsible.

Indicate how critical this hypothesis is for the entire idea to work.

Indicate how costly this test will be to execute.

Indicate how reliable the measured data are.

Indicate how long it takes until this test produces results.



2

Design a series of experiments for the most critical hypotheses

Tip
Consider testing the most critical hypotheses with several experiments. Start with cheap and quick tests. Then follow-up with more elaborate and reliable tests if necessary. Thus, you may create several Test Cards for the same hypotheses.

Repeat

4

Run experiments

Start performing the experiments at the top of your list.
Caveat: If your first experiments invalidate your initial hypotheses, you might have to go back to the drawing board and rethink your ideas. This might render the remaining Test Cards in your list irrelevant.

3

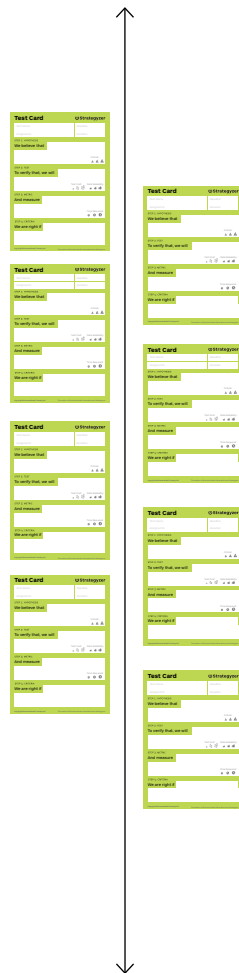
Rank Test Cards

Prioritize your Test Cards. Rank the most critical hypotheses highest, but prioritize cheap and quick tests to be done early in the process, when uncertainty is at its maximum. Increase your spending on experiments that produce more reliable evidence and insights with growing certainty.

Where can I get the most learning the fastest?



Critical to survival



Less critical to survival



205

evolve

4

Use the Value Proposition and Business Model Canvas as a shared language to Create Alignment ^{p. 260} throughout every part of your organization while it continuously evolves. Make sure you constantly Measure and Monitor ^{p. 262} your value propositions and business models in order to Improve Relentlessly ^{p. 264} and Reinvent Yourself Constantly ^{p. 266}.



after word



(Business) Hypothesis

Something that needs to be true for your idea to work partially or fully but that hasn't been validated yet.

Business Model

Rationale of how an organization creates, delivers and captures value.

Business Model Canvas

Strategic management tool to design, test, build, and manage (profitable and scalable) business models.

Call to Action (CTA)

Prompts a subject to perform an action; used in an experiment in order to test one or more hypotheses.

Customer Development

Four-step process invented by Steve Blank to reduce the risk and uncertainty in entrepreneurship by continuously testing the hypotheses underlying a business model with customers and stakeholders.

Customer Gains

Outcomes and benefits customers must have, expect, desire, or dream to achieve.

Customer Insight

Minor or major breakthrough in your customer understanding helping you design better value propositions and business models.

Customer Pains

Bad outcomes, risks, and obstacles that customers want to avoid, notably because they prevent them from getting a job done (well).

Customer Profile

Business tool that constitutes the right-hand side of the Value Proposition Canvas. Visualizes the jobs, pains, and gains of a customer segment (or stakeholder) you intend to create value for.

Environment Map

Strategic foresight tool to map the context in which you design and manage value propositions and business models.

Evidence

Proves or disproves a (business) hypothesis, customer insight, or belief about a value proposition, business model, or the environment.

Experiment/Test

A procedure to validate or invalidate a value proposition or business model hypothesis that produces evidence.

Fit

When the elements of your Value Map meet relevant jobs, pains, and gains of your Customer Segment and a substantial number of customers “hire” your value proposition to satisfy those jobs, pains, and gains.

Gain Creators

Describes how products and services create gains and help customers achieve the outcomes and benefits they require, expect, desire, or dream of by getting a job done (well).

Jobs to be done

What customers need, want, or desire to get done in their work and in their lives.

Lean Start-up

Approach by Eric Ries based on the Customer Development process to eliminate waste and uncertainty from product development by continuously building, testing, and learning in an iterative fashion.

Learning Card

Strategic learning tool to capture insights from research and experiments.

Minimum Viable Product (MVP)

A model of a value proposition designed specifically to validate or invalidate one or more hypotheses.

Pain Relievers

Describes how products and services alleviate customer pains by eliminating or reducing bad outcomes, risks, and obstacles that prevent customers from getting a job done (well).

Products and Services

The items that your value proposition is based on that your customers can see in your shop window — metaphorically speaking.

Progress Board

Strategic management tool to manage and monitor the business model and value proposition design process and track progress towards a successful value proposition and business model.

Prototyping (low/high fidelity)

The practice of building quick, inexpensive, and rough study models to learn about the desirability, feasibility and viability of alternative value propositions and business models.

Test Card

Strategic testing tool to design and structure your research and experiments.

Value Map

Business tool that constitutes the left-hand side of the Value Proposition Canvas. Makes explicit how your products and services create value by alleviating pains and creating gains.

Value Proposition

Describes the benefits customers can expect from your products and services.

Value Proposition Canvas

Strategic management tool to design, test, build, and manage products and services. Fully integrates with the Business Model Canvas.

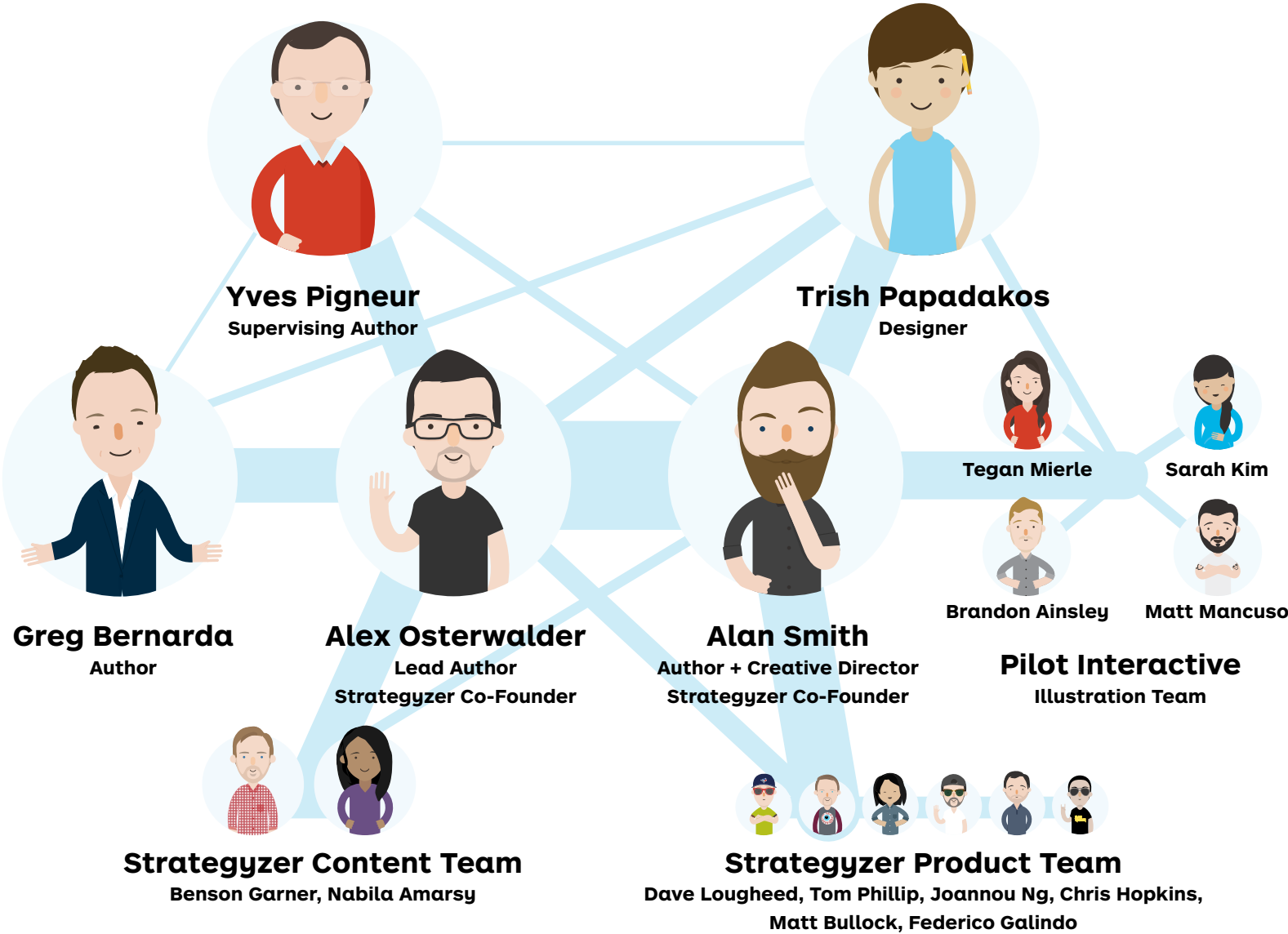
Value Proposition Design

The process of designing, testing, building, and managing value propositions over their entire lifecycle.

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Core Team



Prereaders

We practice what we preach and tested our ideas before releasing them. More than 100 selected people from around the world participated as pre-readers to scrutinize our raw creations. More than 60 actively contributed by reviewing ideas, concepts and spreads. They offered suggestions, meticulously proof-read and pointed out flaws and inconsistencies without pity. We iterated the book title several times with prereaders before testing various alternatives in the market.

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